

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Greece 2022



THE OECD TAX-BENEFIT DATABASE FOR GREECE

Description of policy rules for 2022

OECD contact: Olga Rastrigina, Jobs and Income Division, Directorate for Employment, Labour and Social Affairs. Email: Tax-Benefit.Models@oecd.org

National team:

Dept of Relations with International Organisations // Directorate of International Relations // Ministry of Labour and Social Affairs [Tel: 0030 210 3256141]

Ministry Of Labour and Social Affairs

- Directorate of International Relations
- Directorate of Individual Contractual Arrangements
- Directorate of Employment Integration
- General Secretariat for Social Security
- General Secretariat for Social Solidarity and the Fight against Poverty
- Public Employment Service (DYPA)

Ministry of Interior

Ministry of Finance

This version: January 2023

This work is published on the responsibility of the Director of the OECD Directorate for Employment, Labour and Social Affairs. The opinions expressed and arguments employed herein do not necessarily reflect the official views of the Organisation or of the governments of its member countries.

This document and any map included herein are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

You can copy, download or print OECD content for your own use, and you can include excerpts from OECD publications, databases and multimedia products in your own documents, presentations, blogs, websites and teaching materials, provided that suitable acknowledgment of the source and copyright owner is given. All requests for public or commercial use and translation rights should be submitted to rights@oecd.org. Requests for permission to photocopy portions of this material for public or commercial use shall be addressed directly to the Copyright Clearance Center (CCC) at info@copyright.com or the Centre français d'exploitation du droit de copie (CFC) at contact@cfcopies.com.

Table of contents

Preface	5
The OECD tax-benefit model for Greece: Policy rules in 2022	6
1. Reference wages and other reference amounts	6
2. Unemployment benefits	7
2.1. Unemployment insurance benefit (Τακτική Επιδότηση Ανεργίας)	7
2.2. Unemployment benefit for long-term unemployed (Επίδομα Μακροχρονίως Ανέργων)	9
2.3. Special aid after the end of payment of the unemployment allowance (Ειδικό βοήθημα μετά τη λήξη της Τακτικής Επιδότησης Ανεργίας)	10
2.4. Special aid for unemployed after a three-month registration (Ειδικό βοήθημα μετά από τρίμηνη παραμονή στο Μητρώο Ανέργων)	11
3. Social assistance and housing benefits	15
3.1. Guaranteed Minimum Income (Ελάχιστο Εγγυημένο Εισόδημα)	15
3.2. Housing Benefit (Επίδομα Στέγασης)	18
4. Family benefits	21
4.1. Child allowance (Επίδομα Παιδιού)	21
5. Net costs of Early Childhood Education and Care	24
5.1. Gross childcare fees	25
5.2. Child-care benefits for formal centre-based care	28
5.3. Child care allowance for children not using child care centres	28
5.4. Tax concessions for childcare expenditures	28
6. In-work benefits	30
7. Social security contributions and payroll taxes	31
7.1. Social security contributions (Εισφορές Κοινωνικής Ασφάλισης)	31
8. Taxes	33
8.1. Personal income tax (Φόρος εισοδήματος φυσικών προσώπων)	33
8.2. Special solidarity contribution (Ειδική Εισφορά αλληλεγγύης)	34
9. Sickness benefits	38
9.1. Sickness allowance (επίδομα ασθένειας)	38
9.2. Sickness pay by employer (Please add)	40
10. Short-time work schemes	41
10.1. Benefit due to temporary lay-off (Επίδομα διαθεσιμότητας)	41
10.2. Special purpose compensation to employees in companies whose activity was suspended by state order or in companies severely affected (Αποζημίωση Ειδικού Σκοπού για τους εργαζόμενους σε επιχειρήσεις/ εργοδότες των οποίων έχει ανασταλεί η επιχειρηματική δραστηριότητα βάσει ΚΑΔ με εντολή δημόσιας αρχής ή επειδή είναι πληττόμενες)	42
10.3. Employment support mechanism “SYN-ERGASIA” (Μηχανισμός Επιδότησης Εργασίας «ΣΥΝ-ΕΡΓΑΣΙΑ»)	43
11. Selected output from the OECD tax-benefit model (TaxBEN)	46
Annex: Other benefits and direct taxes	48
Unemployment benefit for self-employed and freelancers formerly insured by OAAE, ETAP MME and ETAA (Βοήθημα ανεργίας αυτοτελώς και ανεξαρτήτως απασχολουμένων)	48

Special seasonal assistance (Ειδικό Εποχικό Βοήθημα)	49
Benefit due to the employer's insolvency or Bankruptcy benefit (Παροχή λόγω Αφερεγγυότητας του Εργοδότη)	49
Unemployment benefit due to refrain from work (Τακτική επιδότηση ανεργίας λόγω επίσχεσης και Βοήθημα επίσχεσης)	49
Open programme of 100 000 new subsidized jobs (Ανοιχτό Πρόγραμμα Επιδότησης ασφαλιστικών εισφορών)	49
Housing allowance for tertiary education undergraduates (Φοιτητικό στεγαστικό επίδομα)	50
Employer provided family support (Οικογενειακή ενίσχυση που παρέχεται από τον εργοδότη)	51
Low income support for households in mountainous and disadvantaged areas (Εισοδηματική ενίσχυση οικογενειών ορεινών μειονεκτικών περιοχών)	51
Pregnancy and post-natal period benefit (Επίδομα εγκυμοσύνης και λοχείας)	51
Post confinement care benefit (Επίδομα τοκετού)	51
Special Maternity Protection Allowance (Ειδική παροχή προστασίας της μητρότητας)	52
Childbirth Benefit (Επίδομα Γέννησης)	53
Additional funding for childcare - Programme "Harmonization of Family and Professional Life" (Επιπλέον χρηματοδότηση για παιδική φροντίδα - Πρόγραμμα «Εναρμόνιση Οικογενειακής και Επαγγελματικής Ζωής»)	54

Preface

This report provides a detailed description of the tax and benefit rules in Greece as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **1 January 2022**.
- The symbol  in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.
- COVID-related measures are provided in **blue font**.
- Sickness benefits and Short-time work schemes described in Sections 9 and 10 are not included in the model.

The OECD tax-benefit model for Greece: Policy rules in 2022

1. Reference wages and other reference amounts

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#))¹. If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

On 1 January 2022, the minimum wage for workers bound by a working relationship in the private sector is set as follows:

- for white collar workers EUR 663.00 per month
- for blue collar workers EUR 29.62 per day.

On 1 May 2022, the minimum wage was increased further:

- for white collar workers EUR 713.00 per month
- for blue collar workers EUR 31.85 per day.

In the model, the minimum wage **[MIN]** for white-collar worker is used.³ The annual minimum wage is computed by multiplying the minimum monthly wage (as of 1 January 2022) by 14 (Easter and Christmas bonuses are included). Thus, the annual minimum wage is EUR 663 * 14 = EUR 9 282.

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ Earlier TaxBEN versions used minimum wage for blue-collar workers. Starting from TaxBEN version 2.3.1, results for all policy years are based on the minimum wage for white-collar workers.

2. Unemployment benefits

This section covers payments to unemployed individuals. Section 2.1. describes unemployment insurance benefit. Sections 2.2. to 2.4. cover unemployment assistance benefits for different groups of unemployed. Annex contains information on unemployment benefit for self-employed and freelancers, special aid for seasonal workers, and unemployment benefit due to refrain from work (*not simulated in the model*).

Section 10. provides information on short-time work schemes intended to protect employees during temporary work suspension or reduction of working hours.

2.1. Unemployment insurance benefit (Τακτική Επιδότηση Ανεργίας)

Variable names: **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and taxable (under certain conditions). 

2.1.1. Eligibility conditions

Age: 15+

Contribution/employment history:

The persons applying for the benefit for the first time must have worked: for at least 125 days in the last 14 months prior to their dismissal, and for at least 80 days per year in the last two years prior to the submission of their application

or

for at least 200 days in the last 2 years prior to the dismissal and for at least 80 days per year in the last two years prior to the dismissal.

The last two months prior to the commencement of unemployment are not taken into consideration in the calculation of these working days.

Conditions are slightly different (more favourable) for persons applying for any subsequent time and for employees in the tourism sector or seasonal workers (*not modelled*).

Behavioural requirements and related eligibility conditions:  The benefit claimant should satisfy the following conditions:

- be capable of and available for work;
- be unemployed unwillingly;
- have registered with an employment agency;
- not to be self-employed.

TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.⁴

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [How demanding are activation requirements for jobseekers? - OECD](#).

2.1.2. Benefit amount

On 1 January 2022, the basic unemployment benefit equals 55% of the minimum daily wage of the blue-collar worker, i.e. $\text{EUR } 29.62 * 55\% = \text{EUR } 16.29$ per day. The benefit is paid for 25 days per month. Thus, the monthly basic unemployment benefit is $\text{EUR } 16.29 * 25 = \text{EUR } 407.25$ per month.

The benefit amount also depends on the previous earnings:

- For the unemployed who were employed in a full-time job or whose monthly wages⁵ were higher than the twelve-fold of the daily minimum wage of the unskilled worker (i.e. $\text{EUR } 29.62 * 12 = \text{EUR } 355.45$ per month), the basic unemployment benefit is paid in full (i.e. $\text{EUR } 407.25$ per month).
- For the unemployed who were NOT employed in a full-time job and whose monthly wages were higher than the six-fold and lower than or equal to the twelve-fold of the daily wage of the unskilled worker (i.e. between $\text{EUR } 177.73$ and 355.45 per month), 75% of the basic unemployment benefit is paid (*not modelled*).
- For the unemployed who were NOT employed in a full-time job and whose monthly wages were lower than or equal to the six-fold of the daily wage of the unskilled worker (i.e. $\text{EUR } 29.62 * 6 = \text{EUR } 177.73$ per month), 50% of the basic unemployment benefit is paid (*not modelled*).

The benefit increases by 10% for every dependant family member of the beneficiary.

On 1 May 2022, the amount of daily unemployment benefit increased further from $\text{EUR } 16.29$ to 17.52 following the increase in the minimum daily wage of the blue-collar worker from $\text{EUR } 29.62$ to 31.85 . *This is not included in the model in 2022 as the policy reference date is 1 January 2022.*

2.1.3. Benefit duration

The benefit is paid after a waiting period of six days (*not modelled*).

The period during which the unemployment benefit is being paid depends upon the contribution record the applicant establishes before becoming unemployed and varies between 5 and 12 months, as follows:

Days of employment* (during 14 month period)**	Duration (months)
125-149 (or 200 in the 2-year period)	5
150-179 (or 250 in the 2-year period)	6
180-219 (or 300 in the 2-year period)	8
220-249	10
250 or more (210 or more if 49+ years old; or 4050 for the whole work history)	12

* Days of employment are converted into calendar months assuming that people usually work 25 days per month.

**The condition during the 14 months period is included in the model; alternative conditions are not modelled.

⁵ Monthly average wage is calculated as the average of the gross monthly earnings of the six months prior to the termination of employment. These six months do not necessarily have to be consecutive. They are the last six months of dependent employment during which the jobseeker was getting paid. If the jobseeker only worked for five months in the last 14 months (the minimum current contribution requirement), then the average is computed on the basis of these five months.

Different duration rules apply in the tourism sector (*not modelled*).

Within the four year period one cannot receive more than 400 daily benefits.

2.1.4. *Means test*

The benefit is not means-tested.

2.1.5. *Tax treatment*

The unemployment benefit is tax exempt on condition that the sum of the taxpayer's other taxable income does not exceed EUR 10 000 annually.

2.1.6. *Interactions with other components of the tax-benefit system*

Included in the means test for Guaranteed Minimum Income and housing benefit.

2.1.7. *Combining benefit receipt and employment/starting a new job*

The payment of the benefit is suspended if the claimant takes up a new post or is not capable of and available for work (illness) or in case there is an income from commercial businesses or liberal professions and can be continued when any of the above reasons has ceased to exist.

As regards the unemployed persons, who during the same period of receipt of unemployment benefit have accumulated up to 70 days of insurance in farming activities, their entitlement is not interrupted or suspended and the number of days of unemployment benefit is neither deducted, nor taken into consideration.

The period of unemployment has to be continuous with some exceptions. After the claimant's request, a continuous period of unemployment can be recognized if the total duration of the spell was broken by less than 70 consecutive days within a period of 12 months. The days that the spell was broken are not counted towards the duration of the unemployment spell.

2.2. *Unemployment benefit for long-term unemployed (Επίδομα Μακροχρόνιας Ανεργίας)*

Variable names: [\[UA1_p; UA1_s\]](#)

This is an unemployment assistance benefit in force from 1 January 2014. It is contributory, means-tested and taxable (under certain conditions).  The aim of this benefit is to provide financial assistance to long-term unemployed.

2.2.1. *Eligibility conditions*

Age: 20-66 years old.

Nationality: It is granted only to EU nationals.

Other conditions: The unemployed who have received and exhausted the unemployment insurance benefit for 12 months can apply for the benefit for long-term unemployed within 2 months after the expiration of the unemployment insurance benefit. Applicants must be registered with the Public Employment Service (DYPA) for a minimum of 12 months.

2.2.2. *Benefit amount*

The benefit amounts to EUR 200 per month.

2.2.3. *Benefit duration*

The benefit is paid for twelve months maximum.

2.2.4. *Means test*

The annual family income must not exceed the amount of EUR 10 000 (increased by EUR 586.08 for each dependent child under the age of 18).

2.2.5. *Tax treatment*

For unemployment assistance allowances there is no concrete fiscal legislation regarding their taxation. All unemployment benefits are tax exempt on condition that the sum of the taxpayer's other taxable income does not exceed EUR 10 000 annually (see Section 2.1.5).

2.2.6. *Interactions with other components of the tax-benefit system*

Included in the means test for the Guaranteed Minimum Income and housing benefit.

2.2.7. *Combining benefit receipt and employment/starting a new job*

Taking up a new post automatically means that the benefit is terminated.

As regards the long-term unemployed, who during the same period of receipt of long-term unemployment benefit have accumulated up to 70 days of insurance, their entitlement is suspended for the duration of those 70 days.

As regards the long-term unemployed, who during the same period of receipt of long-term unemployment benefit have accumulated up to 70 days of insurance in farming activities, their entitlement is not interrupted or suspended.

2.3. *Special aid after the end of payment of the unemployment allowance*

(Ειδικό βοήθημα μετά τη Λήξη της Τακτικής Επιδότησης Ανεργίας)

Variable names: [\[UA2_p; UA2_s\]](#)

This is an unemployment assistance benefit. It is contributory, means-tested and taxable (under certain conditions). 

2.3.1. *Eligibility conditions*

Age: No age condition

Other conditions: The unemployed is not employed following the end of payment of the unemployment benefit. The unemployed remains unemployed one month after the end of the unemployment benefit. Beneficiaries of the long-term unemployment benefit cannot receive the special allowance after the end of the unemployment benefit.

2.3.2. *Benefit amount*

The benefit is a lump sum payment that amounts to 13 daily unemployment benefits (see Section 2.1.2. for 3 different daily benefit levels). In the model, the full daily unemployment benefit is modelled, thus the lump sum benefit is $\text{EUR } 16.29 * 13 = \text{EUR } 211.77$ on 1 January 2022.

The benefit increases by 10% for every dependant family member of the beneficiary (since its introduction).

On 1 May 2022, the amount of daily unemployment benefit increased further from EUR 16.29 to 17.52 following the increase in the minimum daily wage of the blue-collar worker from EUR 29.62 to 31.85.

2.3.3. *Benefit duration*

This is a lump sum payment paid only once.

2.3.4. *Means test*

For benefit recipients in 2022, the annual family income for the previous year (2021) must not exceed a fixed amount of EUR 12 619.22. The amount of the annual family income is raised by EUR 293.47 each calendar year.

2.3.5. *Tax treatment*

See Section 2.2.5.

2.3.6. *Interactions with other components of the tax-benefit system*

Included in the means test for the Guaranteed Minimum Income and housing benefit.

2.3.7. *Combining benefit receipt and employment/starting a new job*

The beneficiary has to be unemployed up to the date of application. Following that date, taking up employment is irrelevant since it is a lump sum payment.

2.4. *Special aid for unemployed after a three-month registration* (Ειδικό βοήθημα μετά από τρίμηνη παραμονή στο Μητρώο Ανέργων)

Variable names: [\[UA3_p; UA3_s\]](#)

This is an unemployment assistance benefit. It is contributory, means-tested and taxable (under certain conditions). 

2.4.1. *Eligibility conditions*

Age: No age condition.

Other conditions: The benefit is paid to the unemployed who do not have the prerequisites for a regular benefit but have worked for at least 60 days in the year prior to that in which they registered with the DYPA. These persons must remain unemployed (registered with the DYPA) for 3 months.

2.4.2. *Benefit amount*

The benefit amounts to 15 basic daily unemployment benefits, i.e. EUR 16.29 * 15 = EUR 244.3 on 1 January 2022 and is paid once per three months.

The benefit increases by 10% for every dependant family member of the beneficiary (since its introduction).

On 1 May 2022, the amount of daily unemployment benefit increased further from EUR 16.29 to 17.52 following the increase in the minimum daily wage of the blue-collar worker from EUR 29.62 to 31.85.

2.4.3. *Benefit duration*

The beneficiary may receive the special aid up to three times in the same calendar year if the conditions for the payment of the special aid are met more than once in the same calendar year. The sixty-day wage condition is required only for the first payment of the benefit within the same calendar year.

2.4.4. *Means test*

For benefit recipients in 2022, the annual family income for the previous year (2021) must not exceed a fixed amount of EUR 12 619.22. The amount of the annual family income is raised by EUR 293.47 each calendar year.

2.4.5. *Tax treatment*

See Section 2.2.5.

2.4.6. *Interactions with other components of the tax-benefit system*

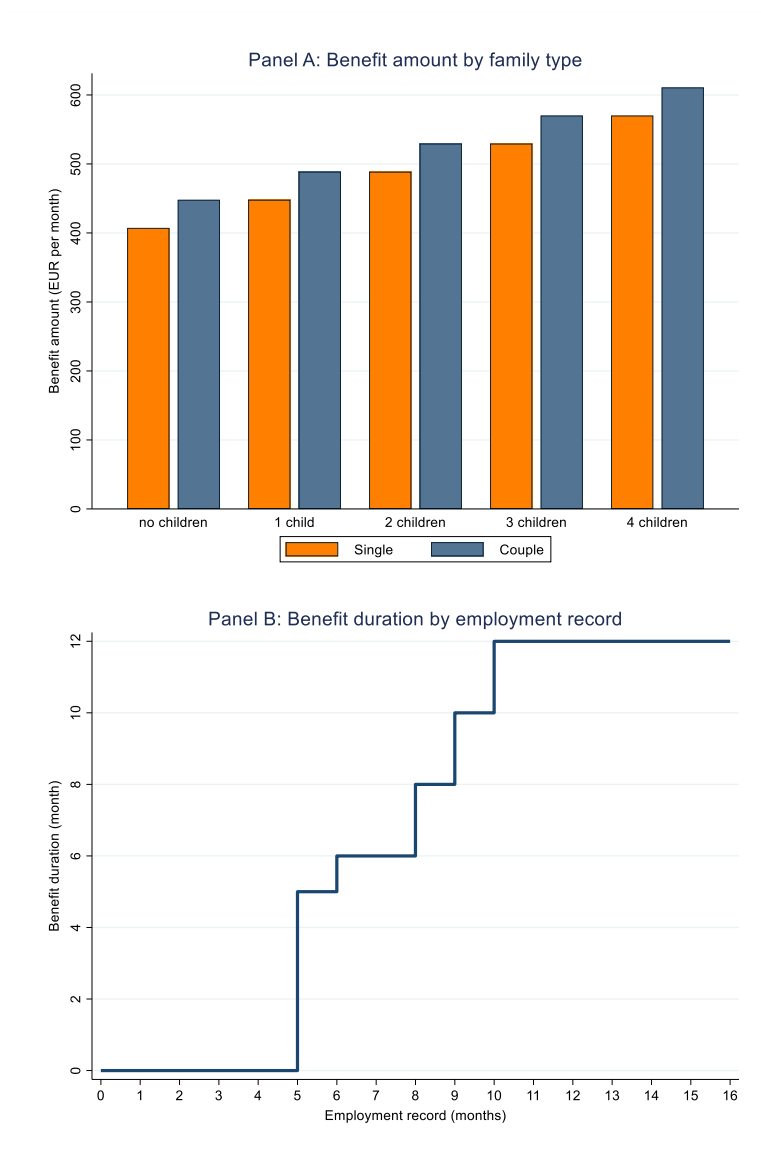
Included in the means test for the Guaranteed Minimum Income and housing benefit.

2.4.7. *Combining benefit receipt and employment/starting a new job*

Taking up a new post automatically means that the benefit is terminated.

Figure 1. Unemployment insurance benefit

40-year old single or couple with or without children

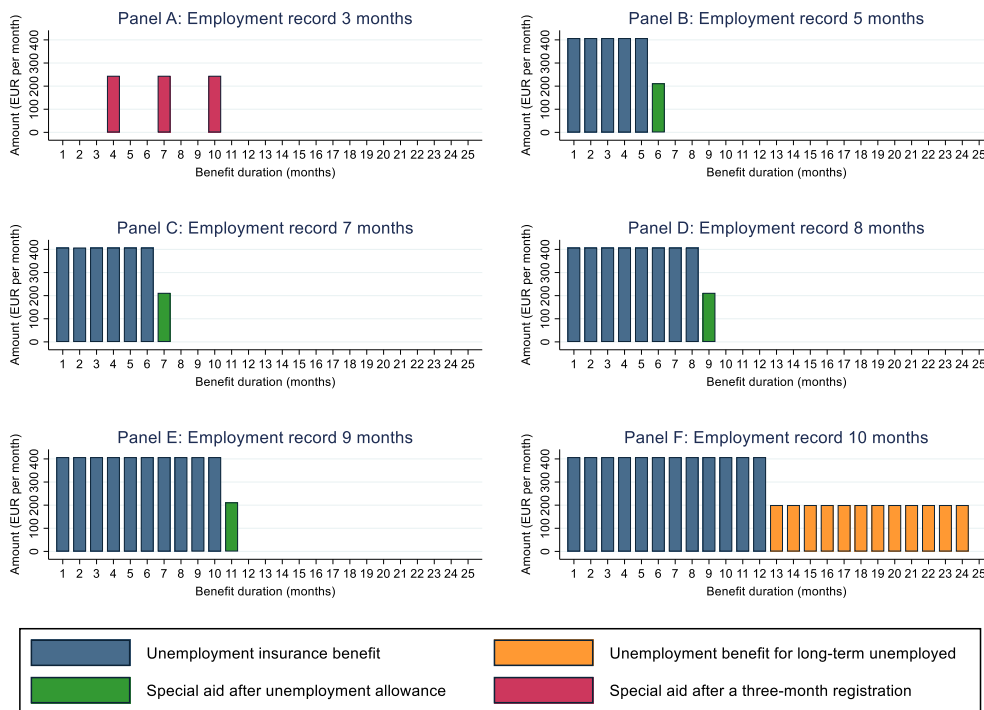


Note: The figure shows unemployment benefit of the first adult. In a couple, the second adult is assumed to be out of work and not eligible for unemployment benefits. Spouse and children are considered as dependants in the calculation of the unemployment benefit of the first adult. Benefit amount remains the same throughout its duration. Panel A assumes that the first adult has employment record of at least 5 months and previously worked full time. In Panel B, employment record increases from 0 to 16 months by 1 full month (25 working days); smaller increases are not considered.

Source: OECD Tax-Benefit Model.

Figure 2. Unemployment insurance and assistance benefits

40-year old single person without children



Note: The figure shows amounts and duration of unemployment insurance and assistance benefits received by a person with different past employment record. Six cases (3, 5, 7, 8, 9, and 10 months of previous employment record) are selected to show different outcomes. Persons with contribution record below 60 working days (approx. 2.4 months) are not eligible to unemployment insurance and assistance benefits.

Source: OECD Tax-Benefit Model.

3. Social assistance and housing benefits

3.1. **Guaranteed Minimum Income** (*Ελάχιστο Εγγυημένο Εισόδημα*)

Variable name: **[SA]**

Social Solidarity Income (*Κοινωνικό Εισόδημα Αλληλεγγύης - ΚΕΑ*) was introduced in February 2017. In February 2020, it is renamed Guaranteed Minimum Income (*Ελάχιστο Εγγυημένο Εισόδημα*).

The Guaranteed Minimum Income (GMI) is a welfare program that combines: i) Income support, ii) Complementary social services and iii) Actions for integration and reintegration into the labour market. The program is used to “top up” other income sources. It is non-contributory, means-tested and not taxable.

3.1.1. *Eligibility conditions*

(a) One-person household: a single adult who is residing or staying alone in a dwelling and does not fall within the category of adults up to 25 years attending school, university, or an institution for vocational education and training in Greece or abroad.

(b) Multi-person household: all individuals living under the same roof. Multi-person households include adult children up to 25 years of age attending school, university, or an institution for vocational education and training, regardless of their place of residence.

(c) Homeless people: people who are homeless or living in inadequate housing may be beneficiaries of the program, provided they are registered (*not modelled*). Homeless people living in homeless shelters may be also beneficiaries of the program for up to two reference periods (since July 2021).

3.1.2. *Benefit amount*

The guaranteed amount of the monthly benefit shall be as follows: EUR 200 for single person households, increased by EUR 100 for each additional adult member of the household and by EUR 50 for each additional minor member (up to 18 years old) with the maximum of EUR 900 per month per household.

In single parent households, for the purposes of calculating the guaranteed amount, the first unprotected child is counted as an adult.

The benefit cannot be less than EUR 10 per month. If the calculated amount is less than EUR 10 per month, it is not paid.

In December 2021, the income support was paid doubled to all approved beneficiaries of GMI (not modelled).

3.1.3. *Benefit duration*

Since November 2018, the cash benefit is paid for six months from the date of first payment (previously 12 months). After the lapse of the above period, the beneficiary is required to resubmit an application for inclusion in the program. In the model, it is assumed that a person resubmits application.

Due to Covid-19, the right to GMI was extended unconditionally: a) by three months for all applications expiring in November, December 2020 and January 2021, b) by three months for all applications expiring in February, March and April 2021, c) by three months

for all application expiring in May 2021 and d) by one month for all applications expiring in December 2021. Beneficiaries were informed through sms/e-mail about the changes regarding the status of their applications. The goal was twofold. On the one hand, preventing the attendance of beneficiaries in the local community services in order to reapply for the benefits and thus avoid any exposure to the virus and its further dispersal. On the other hand, ensure that beneficiaries, that might face difficulties providing the necessary supporting documents in order to apply, will not stop receiving the income support when most needed.

3.1.4. *Means test*

The actual total of all the incomes from any source in Greece or abroad, before taxes, after social security contributions, which has been received by all household members, in the six months prior to application to the Guaranteed Minimum Income. The total reported income includes all allowances, other subsidies, and any income exempt from taxes or taxed in a special way with the exceptions referred to below.

The reported income does not include the foster care allowance, the unemployment training programs payment (since November 2018) as well as the non-contributory disability benefits provided by the State (*not covered by the model*).

20% of income from employment (after social security contributions) is disregarded in the income test.

The reported income of the household, as calculated for eligibility purposes, in the six last months prior to submission of the application, cannot exceed six-times the amount of the guaranteed amount for each type of household.

Asset tests also apply to movable and immovable property, bank deposits (*not modelled*).

3.1.5. *Tax treatment*

The benefit is not taxable.

3.1.6. *Interaction with other components of the tax-benefit system*

The benefit is not included in the income test for any other benefit.

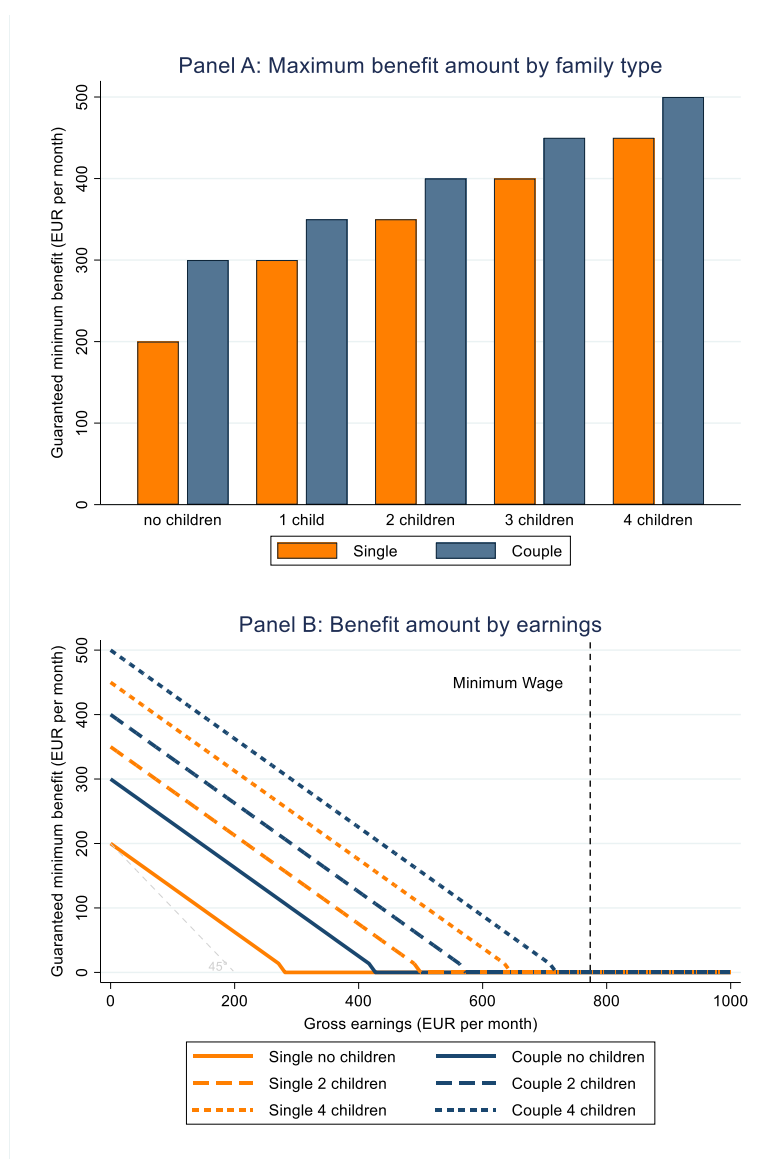
3.1.7. *Combining benefit receipt and employment/starting a new job*

Since November 2018, the temporary earnings disregards for taking up a new employment are replaced by a new approach: For the “reference period” of six months the amount of income support is fixed. Taking up employment during the “reference period” does not affect the amount of the benefit. After the benefit is reassessed, employment income from the new employment is included in the income test as described in Section 3.1.4.

In the model, when a transition into work occurs, it is assumed that a person has just started a period of receipt of social assistance, thus, his or her earnings are ignored for the first six months in the new job.

Figure 3. Guaranteed Minimum Income

40-year old single or couple with or without children



Note: Results assume no receipt of child allowance, unemployment benefits or other benefits, which are usually included in the means test for guaranteed minimum income. Panel A shows maximum benefit amount for a jobless family with no income. Panel B shows the reduction in benefit amount if a family has earnings from work. 45° line shows how the benefit for a single person without children would decrease if the benefit would have been reduced by 1 Euro for every Euro earned.

Source: OECD Tax-Benefit Model.

3.2. *Housing Benefit* (Επίδομα Στέγασης)

Variable name: [\[HB_RA\]](#)

Introduced in March 2019. *(Implemented in the model in 2020.)*

The Housing Benefit is a welfare program aiming to help low-income households who live in rented primary residences to meet their housing costs. The program is non-contributory, means-tested and not taxable.⁶

3.2.1. *Eligibility conditions*

(a) **One-person household:** a single adult who is residing or staying alone in a dwelling and does not fall within the category of adults up to 25 years attending school, university, or an institution for vocational education and training in Greece.

(b) **Multi-person household:** all individuals living under the same roof. Multi-person households include adult children up to 25 years of age attending school, university, or an institution for vocational education and training, regardless of their place of residence.

3.2.2. *Benefit amount*

The guaranteed amount of the monthly benefit shall be as follows: EUR 70 for single person households, increased by EUR 35 for each additional member of the household with the maximum of EUR 210 per month per household.

In single parent households, the amount is increased by EUR 35 per month.

The benefit cannot be higher than the rent.

3.2.3. *Benefit duration*

The cash benefit is paid for six months from the date of first payment. After the lapse of the above period, the beneficiary is required to resubmit an application for inclusion in the program.

[Due to Covid-19, the entitlement to the benefit was extended unconditionally: by three months for all applications expiring in February, March and April 2021 and by one month for all applications expiring in January 2021.](#)

3.2.4. *Means test*

The total income cannot exceed EUR 7 000 for a single-person household, increased by EUR 3 500 for each additional household member. In the single-parent family for the first minor member of the household, the income limit is increased by EUR 7 000. In households with unprotected children, the income limit is increased by EUR 7 000 for each unprotected child (*not modelled*).

The means test is based on the actual total of all the incomes from any source in Greece or abroad, before taxes, after social security contributions, which has been received by all household members, as stated in the last tax declaration. The total reported income includes all allowances, subsidies, and any income exempt from taxes or taxed in a special way with the exceptions referred to below.

⁶ See more details here: [Housing Benefit - OPEKA](#).

The reported income does not include the child benefit, the foster care allowance, the unemployment training programs payment as well as the non-contributory disability benefits provided by the State. Guaranteed Minimum Income is also not included.

If the reference income exceeds the income threshold, the benefit is not paid.

Asset tests also apply to movable and immovable property, bank deposits. In the model, the asset test is assumed to be met.

3.2.5. *Tax treatment*

The benefit is not taxable.

3.2.6. *Interaction with other components of the tax-benefit system*

The benefit is not included in the income test for any other benefit.

3.2.7. *Combining benefit receipt and employment/starting a new job*

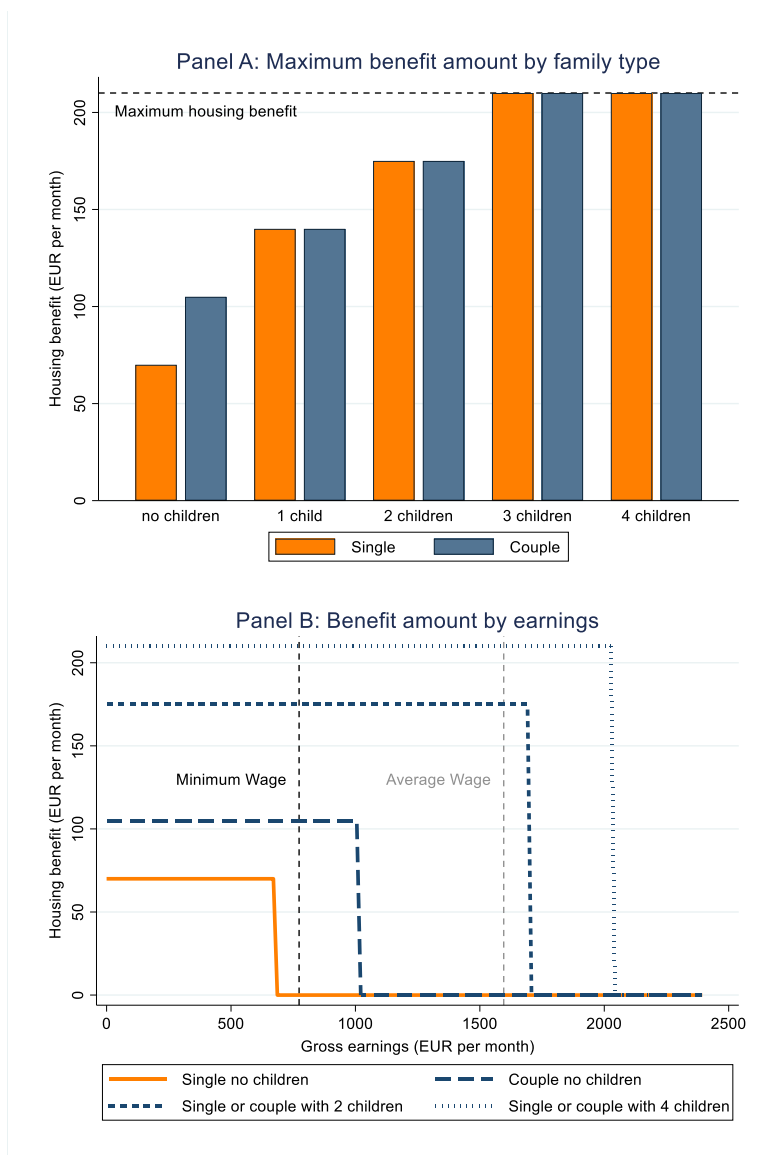
The benefit can be combined with earnings from work, but the benefit is not paid if family income exceeds the income threshold.

For the “reference period” of six months the amount of housing benefit is fixed. Taking up employment during the “reference period” does not affect the amount of the benefit. After that, the benefit is reassessed and employment income from the new employment can be included in the income test. In practice, the income test is based on the last tax declaration. Therefore, taking up employment does not affect the benefit, until the next tax declaration is submitted and the income from the employment is declared.

In the model, it is assumed that the authorities have the most recent information on beneficiary’s income without any delay. When a transition into work occurs, it is assumed that a person has just started a period of receipt of housing benefit, thus, his or her earnings are ignored for the first six months in the new job. After that, the benefit is re-assessed taking into account new employment income.

Figure 4. Housing benefit

40-year old single or couple with or without children



Note: Results assume no receipt of child allowance, unemployment benefits or other benefits, which are usually included in the means test for housing benefit. Rent is assumed to be 20% of average wage for all family types. Panel A shows maximum benefit amount for a jobless family with no income. Panel B shows the reduction in benefit amount if a family has earnings from work.

Source: OECD Tax-Benefit Model.

4. Family benefits

4.1. Child allowance (*Επίδομα Παιδιού*)

Variable name: **[FB_scsa]**

This is a non-contributory benefit, means-tested and not taxable. The benefit was introduced in 2018 and replaced Single child support allowance (ΕΝΙΑΙΟ ΕΠΙΔΟΜΑ ΣΤΗΡΙΞΗΣ ΤΕΚΝΩΝ).

4.1.1. Eligibility conditions

The allowance is granted to families for every child up to 18 years old or 19 years old if enrolled in secondary education (up to 24 years old if in higher education or if they have an invalidity of at least 67%).

4.1.2. Benefit amount

The benefit amount depends on the number of the dependent children and the category of the equivalent family income (see Section 4.1.4. .

For the first income category:

- EUR 70 per month for the first dependent child
- An extra EUR 70 per month for the second dependent child
- An extra EUR 140 per month for the third and every other dependent child beyond the third

For the second income category:

- EUR 42 per month for the first dependent child
- An extra EUR 42 per month for the second dependent child
- An extra EUR 84 per month for the third and every other dependent child beyond the third

For the third income category:

- EUR 28 per month for the first dependent child
- An extra EUR 28 per month for the second dependent child
- An extra EUR 56 per month for the third and every other dependent child beyond the third

4.1.3. Benefit duration

As long as the eligibility conditions are met.

4.1.4. Means test

The amount of the allowance depends on equivalent family income. The following equivalence scale is applied:

Household member	Equivalence Scale
Adult	1
Partner	1/2
Child	1/4

In single parent households, the first unprotected child is counted as an adult.

The benefit amount depends on the income category of the family:

Categories	Income limit (EUR per year)
1	Up to 6 000
2	6001 - 10000
3	10001 – 15000

Reference income is taxable family income after social security contributions.

4.1.5. *Tax treatment*

The benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

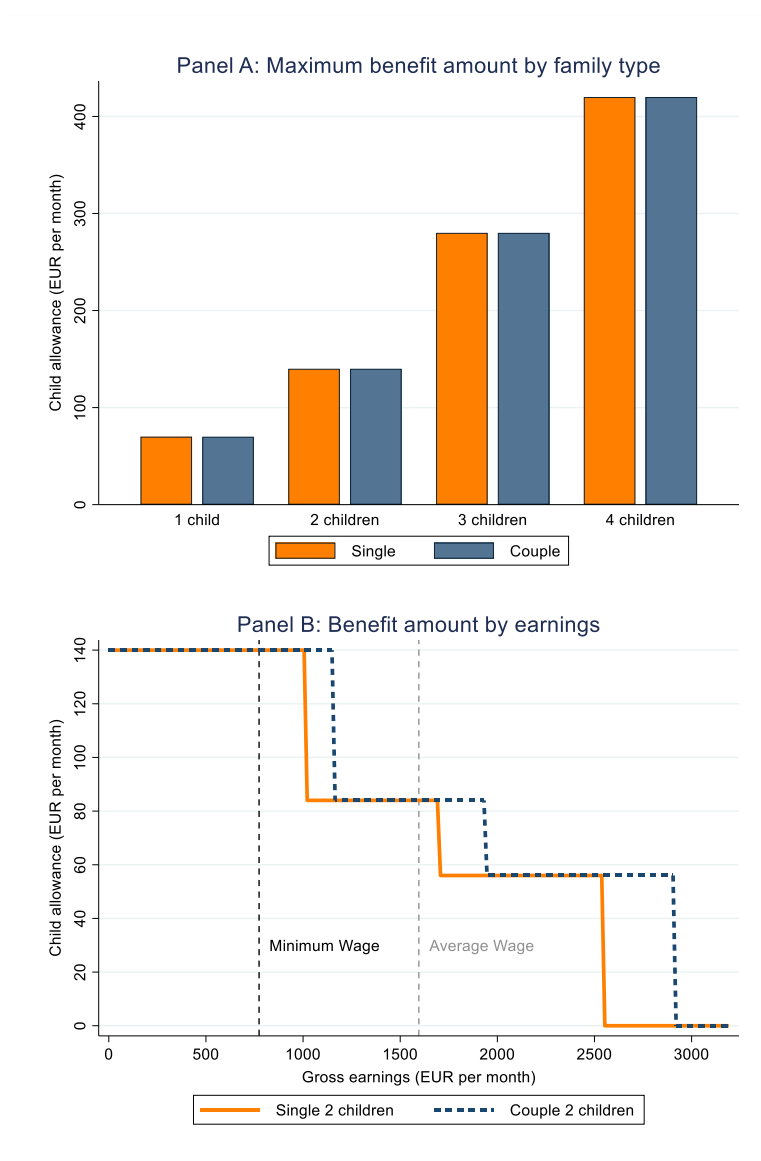
Included in the income test for the Guaranteed Minimum Income.

4.1.7. *Combining benefit receipt and employment/starting a new job*

The benefit is reduced if family income exceeds the thresholds.

Figure 5. Child allowance

40-year old single or couple with children



Note: Panel A shows maximum benefit amount for a jobless family with no income. Panel B shows the reduction in benefit amount if a family has earnings from work.

Source: OECD Tax-Benefit Model.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **1 January 2022**.

In Greece, early childhood education and care is organized in:

- Child (*Paidikoi*), Infant (*Vrefikoi*) and Infant/Child Centres (*Vrefonipiakoi Stathmoi*) within the competence of Municipalities (Ministry of Interior);
- Private pre-school education and care centres, within the competence of the Ministry of Labour, Social Insurance and Social Solidarity;
- Pre-primary Schools (*Nipiagogeia*), public and private, within the competence of the Ministry of Education, Research and Religious Affairs.

The Municipal authorities are responsible for the establishment and operation of municipal Infant, Child and Infant/Child Centers. These centers operate either within a municipality as a municipal service or within the legal entities of municipalities. Infant and Infant/Child Centers accommodate children from 2 months up to the age of compulsory education, i.e. at the age of 4; Child Centres - from 2.5 years up to the age of compulsory education, i.e. 4. These Centres may require board fees on a monthly basis, depending on the economic status of the family. The childcare fees are laid down either by the Municipal Council or by the Management Board of the Legal Entity according to the *Standard Procedural Regulation of Municipal child centers and infant/child centers*” (OG 4249/B/15.12.2017). The typical working hours of municipal child, infant and infant/child centres are from 7:00 to 16:00. They run from 1 September to 31 July of the following year, i.e. an operation period of 11 months.

Pre-primary schools is compulsory for 5-year-olds since 2006. Over the span of the last few years, pre-school education became compulsory also for 4-year-old children in most municipalities of the country:

- In 2019-2020, it was not yet compulsory in some municipalities of the Athens prefecture.
- In 2020-2021, it was compulsory in all the country except four municipalities of the Athens prefecture.
- Since 2021-2022, it is compulsory in the whole country.

Six-year-old pupils enroll in compulsory primary education. Pre-primary and primary education is free of charge.

In addition to public and private childcare facilities, the Public Employment Service (DYPA) is responsible for providing childcare facilities to working people through its day nurseries. The DYPA operates 26 day nurseries, of which 8 are located in the Prefecture of Attica and 18 in other Regions. Their working hours are from 6.45 a.m. to 16.00 p.m., from September to July (closed in August). The DYPA day nurseries cater for preschool children (from six months old to the school age) whose parents are entitled to DYPA benefits and allowances. The Organization’s selection criteria are both social (families with more than three children, orphans, children of single-parent families, disabled children) and economic (children of low-income parents are prioritized).

The model assumes a family residing in Athens. Children from 1 up to 4 years old (excluding) are assumed to attend municipal Infant, Child and Infant/Child Centres. The associated childcare costs are computed as described in Section 5.1. . Children from 4 years to 5 years old (including) are assumed to attend compulsory pre-primary school free of charge. From 6 years old, children attend compulsory primary school.

5.1. Gross childcare fees

Variable name: `[GCcc_cost]`

Subsistence expenses

Based on the Standard Operating Regulations of Municipal Childcare Centers - Nurseries (O.G. 4249/5-12-2017), the Municipal Council may define the criteria for charging the payment of monthly financial contributions (subsistence expenses) to the families of children accommodated in such facilities, depending on their financial circumstances. In case financial contributions are required, they should be reasonable and symbolic. The same decision of the Administrative Board or of the Municipal Council defines the exemption cases from the payment of subsistence expenses or cases where the amounts may be reduced.

As representative of subsistence expenses, these are three examples of the largest municipalities:

The fees for public centers in the municipality of Athens (1 January 2022):

The Management Board Act of the Municipal Nursery of Athens lays down the child care fees to be charged to parents for their children attending child centers of the Municipal Nursery of Athens, based on the family income and the number of children attending childcare in the same family, as follows:

Family Income (EUR per year)	1 child (EUR per month)	2 children (EUR per month)
1 -20 000	0	0
20 001 – 25 000	55	75
25 001 – 30000	65	95
30 001 – 35000	95	125
35 001 – 40 000	115	160
40 001 – 50000	140	180
50 001 – 75 000	165	210
75 001 – 100000	190	235
100001 – 200000	260	330
200 001 – 300000	330	400
300001 and more	400	500

Note: Family income is defined as gross taxable income (see Section 8.1.2).

Moreover, families with incomes over EUR 30 001 pay reduced fees if they belong to the following categories:

- The family has a disabled child with a minimum rate of invalidity of 35% or a disabled parent with a minimum rate of invalidity of 50% (*not covered in the model*)
- Single parent families, widows/widowers, divorced parents
- Families with three underage children.

In these cases the fees are based on the following table:

Family Income (EUR per year)	1 child (EUR per month)	2 children (EUR per month)
0 – 30 000	0	0
30 001 – 35 000	50	65
35 001 – 40 000	60	75
40 001 – 50 000	70	100
50 001 – 75 000	100	135
75 001 – 100 000	120	170
100 001 – 200 000	150	190
200 001 – 300 000	175	220
300 001 and more	200	250

Families are exempted from financial participation in the following circumstances:

- Families with a family income of up to EUR 20 000.
- Families having an income up to EUR 30 000 with a disabled child with a minimum rate of invalidity of 35% or a disabled parent with a minimum rate of invalidity of 50%.
- Large families* regardless of their total income.
- Single parent families, widows/widowers, divorced parents, with an income up to EUR 30 000.
- Families with underage three children with an income up to EUR 30 000.
- In the case of a third child attending the centre, an exemption from the fees charged to parents applies for the third child.

Note: * Large families are families with at least 4 children (up to 23 years old or 25 years old if in education). A parent without a spouse (or a parent with disability) is considered a large family if he/she has at least 3 children.

Thessaloniki:

The Municipal Council Decision no 920/2017 is defining the childcare fees charged to parents per month, as follows (EUR per month):

Family income (EUR per year)	0 – 15 000	15 001 – 27 000	27 001 and more
1st child	64	80	96
2nd child	48	64	80
3rd child	32	48	64

Upon, the pre-mentioned Municipal Council Decision, the following categories are entitled to 50% reduction in the fees:

- The children in large families with at least four children (L.860/79)
- Children of single parent families
- Children of those fulfilling military services
- Children of deprived students (both parents)

The amount of the fees to be paid, after the reduction, is presented in the table below as follows:

Family income (EUR per year)	0 – 15 000	15 001 – 27 000	27 001 and more
1st child	32	40	48
2nd child	24	32	40
3rd child	16	24	32

The following categories of children are fully exempted from paying the fees:

- Orphans who have lost both parents
- Children of large families who have lost one parent
- Children of foster families determined by the Municipal Nursery “Agios Stylianos” for the duration of the foster care.

Patras:

The child care fees to be charged to parents are fixed by decision of the Management Board of the Legal Entity of the town of Patra (Koinonikos Organismos), per category (family income), as follows:

Family income (EUR per year)	1 st child (EUR per month)	2 nd child (EUR per month)
Up to 25.000	0	0
25 001 - 30000	40	20
30 001– 40.000	100	50
40 001 – 50 000	120	60
50 001 or more	150	75

Special provisions have been made for special categories, as follows:

- Families in poverty, large families or families which have a member with a degree of disability of over 67%.

Family Income (EUR per year)	1st child (EUR per month)	2nd child (EUR per month)
Up to 25 000	0	0
25 001 – 30 000	40	20
30 001 – 40 000	100	50
40 001 – 50 000	120	60
50 001 or more	150	75

- Large families or families with a disabled member (parents, children) with a degree of disability of over 50% or cancer patients or patients with chronic diseases, having an annual family income not exceeding EUR 50 000.00 are exempted from the payment of child care fees. However, they have to present a certification issued by the local insurance agency to which they belong or by the primary medical committee.
- The staff employed in the legal entity (permanent staff, staff employed under contracts of an indefinite duration, or staff employed under private law fixed term contracts) are exempted from the payment of child care fees
- Municipal staff having an annual family income over EUR 25 001.00 are charged with a monthly fee of EUR 40.
- The staff employed in the University of Patras are entitled to a reduction of 10% in the 14th Municipal Child Centres of the Municipality of Patras.

It is worth mentioning that according to relevant legislative provisions, parents were exempted from day-care fees to be paid to municipal nurseries and childcare centres during the suspension of the operation of such facilities due to measures taken to stop the spread of COVID-19 pandemic. Such suspensions took place in 2020-2022.

Additional funding (paid directly to childcare facilities) is provided through the project “Harmonization of Family and Professional Life”. See description in Annex.

5.1.1. *Discounts for part-time usage*

None.

5.2. *Child-care benefits for formal centre-based care*

Variable name: `[cc_benefit]`

None.

During Covid-19 emergency, a special purpose leave has been introduced for working parents to cover childcare needs arising from the closure of childcare facilities (see description in Annex).

5.3. *Child care allowance for children not using child care centres*

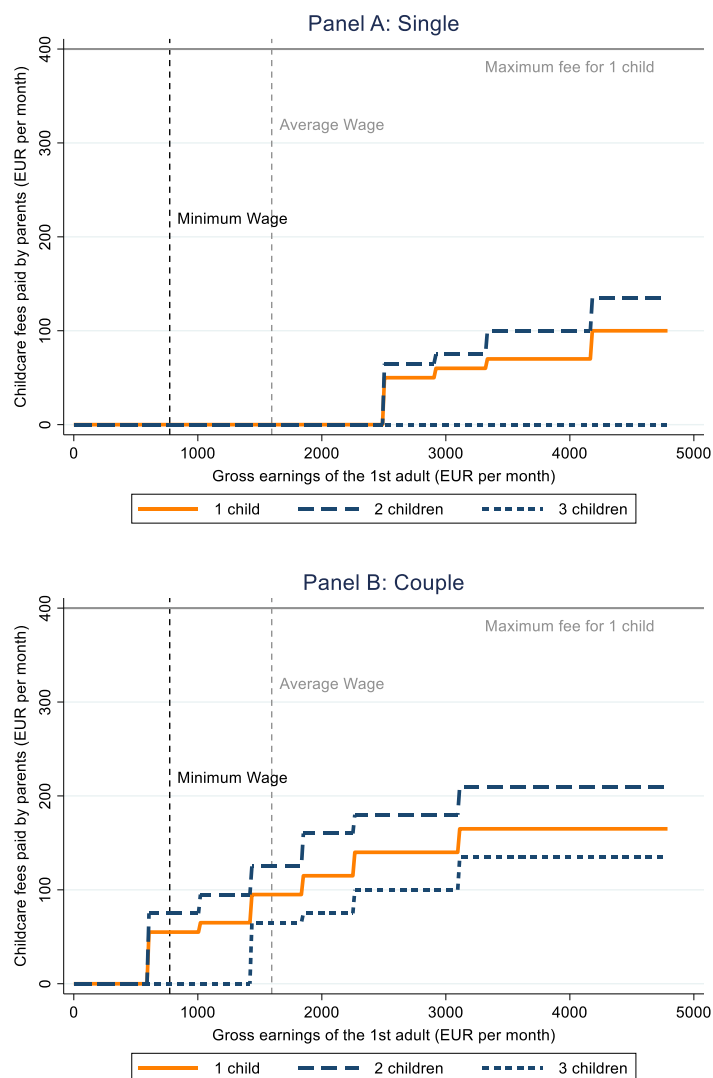
None.

5.4. *Tax concessions for childcare expenditures*

None.

Figure 6. Childcare fees paid by parents

40-year old single or couple with children (Athens)



Note: A family is assumed to live in Athens. Children are 2, 3, and 4 years old. The 2 and 3-years-old children attend municipal Infant or Child Centres full time; the 4-years-old child attends compulsory pre-primary education free of charge. Both parents are working full time. In a couple, the second adult earns 67% of the average wage. Horizontal axis shows gross earnings of the first adult. A single parent with 1 or 2 children and a couple with 3 children are eligible to lower fees than a couple with 1 or 2 children. A single parent with 3 or more children and a couple with 4 or more children are exempt from childcare fees.

Source: OECD Tax-Benefit Model.

6. In-work benefits

OECD note: This section provides information on employment-conditional (“in-work”) benefits for employees, i.e. benefits whose eligibility is conditional on the following key requirements: 1) being regularly employed (in either the private or public sector); 2) working a certain number of hours and/or earning more than a certain minimum. This definition notably excludes ‘workfare’ programmes and related ‘work-first’ policies that make out-of-work benefits conditional on participation in work activities.

This section provides information also on one-off and/or temporary payments for benefit recipients who are out of work and make a transition into employment. These type of benefits are referred to as transitional “into-work” benefits in order to differentiate them from the “regular” in-work benefits that do not have any predefined maximum duration after moving into work.

Based on this definition, Greece does not have an “in-work” benefit programme. However, Sections 3.1.7. and 3.2.7. describe special rules for means tests when a recipient of Guaranteed Minimum Income benefit or Housing benefit moves into work. Such provisions are classified as an into-work benefits.

7. Social security contributions and payroll taxes

7.1. Social security contributions (Εισφορές Κοινωνικής Ασφάλισης)

Variable names: **[SOCSEC_1; SOCSEC_2; SSCR_1; SSCR_2]**

On 1 January 2022, the average contributions rate (%) paid by employees and employers to social insurance bodies is calculated on their gross income as follows:

	Insured person	Employer	Total
Electronic National Social Security Institution (e-EFKA)	12.47	21.13	33.60
A) Main pension for employees	6.67	13.33	20.00
B) Healthcare coverage of employees	2.55	4.55	7.10
C) Branch of Supplementary Insurance (ex ETEAEP)	3.25***	3.25***	6.50***
Other Employees' Contributions	1.65*	1.41*	3.06*
	2.07**	1.89**	3.96**
TOTAL	14.12*	22.54*	36.66*
	14.54**	23.02**	37.56**

Note : * From 1 January 2021 for full-time employment⁷

** From 1 January 2021 for part-time employment

*** Until 31 May 2022; from 1 June 2022 the rate will be 6% (3% for the insured and 3% for the employer).

The ceiling for insurable earnings for the calculation of the monthly insurance contribution of employees and employers is set at EUR 6 500 per month. Christmas and Easter bonuses as well as holiday allowances are also subject to social security contributions.

From 1 January 2022, new entrants in social security are subject to the new Hellenic Auxiliary Pensions Defined Contributions Fund (TEKA). The contributions rates (for employees and employers) are the same as for the Branch of Supplementary Insurance of e-EFKA (ex. ETEAEP).

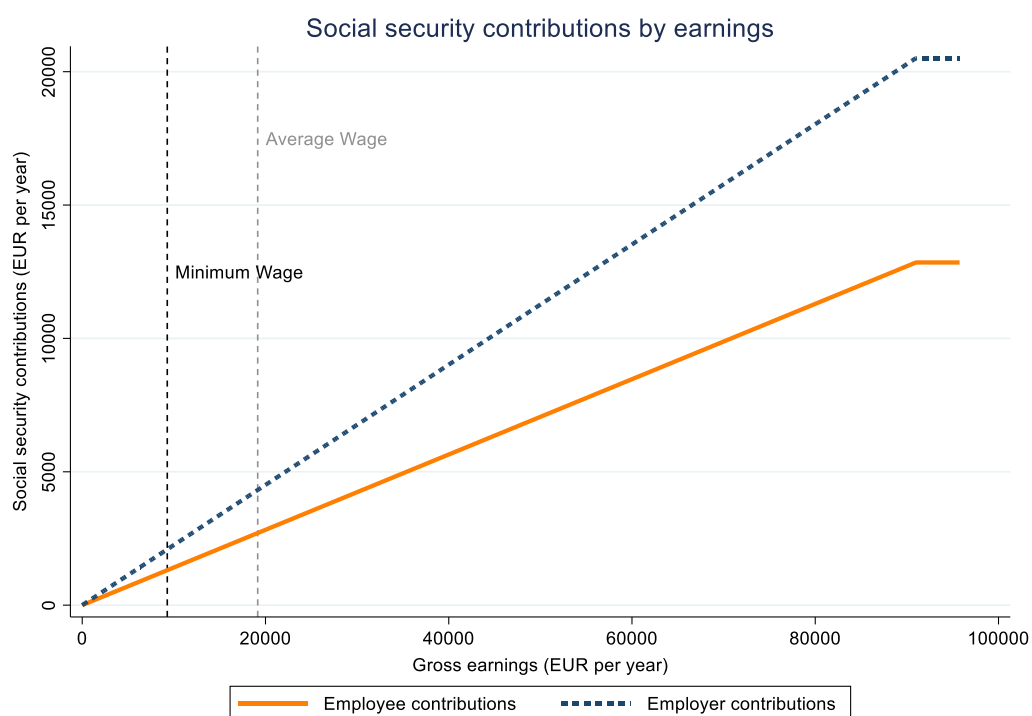
Measures due to Covid-19:

- The payment of social contributions for February, March and April 2020 was suspended until 31 December 2021 due to Covid-19 emergency.
- Full insurance coverage for the employee whose labor agreement is suspended during 2020, 2021 and 2022 due to Covid-19. The period of suspension of the labor agreement is considered as time of insurance and the social security contributions (employees and employers) are paid by the state. The social security contributions are calculated on the salary paid before the suspension of the labor agreement.
- Full insurance coverage for the employee for the period of time the enterprise join the employment support scheme SYN-ERGASIA and the employee does not work due to the reduction of working hours. The scheme SYN-ERGASIA (see Section 10.3. was established in order to moderate the impact of Covid-19 in employment, and started on 15 June 2020 until 31 March 2022. The period of time in the programme is considered as time of insurance and the social security contributions (employees and employers) are paid by the state.

⁷ Full-time employment here is defined as a full day work, all working days and 25 insured days per month. Part-time is considered whatever differentiates from the above rule.

Figure 7. Social security contributions

40-year old single person without children



Note: Social security contributions do not depend on family structure. Calculations assume a person in full-time employment.

Source: OECD Tax-Benefit Model.

8. Taxes

Married persons are taxed separately on their own separate income. From tax year 2018 onwards, married persons are not obliged to submit joint tax return and if at least one of the spouses opts for it, by its irrevocable declaration for each tax year until 28 February of the year of submission of the return, the tax return may be submitted separately.

Persons who have entered into a civil union – partnership can also file a joint income tax return. In this case, civil union partners have the same tax treatment as married couples.

8.1. *Personal income tax* (Φόρος εισοδήματος φυσικών προσώπων)

Variable name: `[INCTAX_1; INCTAX_2]`

8.1.1. *Tax allowances*

Social security contributions: all compulsory social security contributions and optional contributions to legally constituted funds are fully deductible from taxable gross income.

8.1.2. *Tax base*

Taxable income (covered by the model) includes income from employment. Some forms of income are exempt from the tax:

- unemployment benefits granted by the Public Employment Service (DYPA) provided that the total annual income of the beneficiary does not exceed the amount of EUR 10 000 (*this is the only exemption within the scope of the model*);
- alimony received by the beneficiary according to the Court adjudication or notary Document;
- benefits and similar allowances provided to special categories of disabled persons;
- salaries, pensions and fixed remuneration granted to disabled people with a disability rate of at least eighty percent (80%);
- pension provided to war victims or their families, as well as to soldiers and military personnel injured in the course of their duties or their families in times of peace;
- financial aid to recognized political refugees, to persons residing temporarily in Greece for humanitarian reasons and to persons that have submitted the relevant application to the competent Greek authorities, paid by bodies carrying out refugee aid schemes financed by the UN and the EU;
- the benefit for hazardous labour paid in the form of flying, diving, minesweeping, paratroopers, divers and submarine disasters to officers, non-commissioned officers and hoplites of the Armed Forces, the Greek Police, the Fire Brigade and the Coast Guard, the Coast Guard and the Coast Guard to the medical and nursing staff and the ambulance crews of E.K.A.B. who perform an ordered service by air for the provision of First Aid at a rate of one hundred percent (100%) and the flight compensation paid to the pilots of the Civil Aviation and the Civil Aviation Service at a rate of sixty five percent (65%);
- the fees paid by the World Association of Disabled Artists (VDM.FK) to its members of foot and mouth painters, who are tax residents of Greece, exclusively for the work of painting that is paid by the above association in foreign currency;
- pensioners' social solidarity allowance paid by EFKA to the beneficiaries;
- income from employment obtained by foreign officers and low crew members of merchant ships, who are foreign tax residents, on merchant ships with Greek flag, which perform exclusively international trips.

8.1.3. *Income tax schedule*

Law 4646/2019 (Government Gazette A'201/12-12-2019) introduced new tax provisions into the Income Tax Code. These provisions apply to incomes derived from 1 January 2020 onwards. The following progressive tax schedule applies to employment income:

Income bracket (EUR per year)	Tax rate (%)
0 - 10 000	9
10 001 – 20 000	22
20 001 – 30 000	28
30 001 – 40 000	36
More than 40 001	44

8.1.4. *Tax credits (Μείωση Φόρου)*

Employment and pension tax credit: Since 1 January 2020, the tax for employees (and pensioners) is reduced as following:

- by EUR 777 for annual income up to EUR 12 000 for taxpayers with no dependent children;
- by EUR 810 for annual income up to EUR 12 000 for taxpayers with one dependent child;
- by EUR 900 for annual income up to EUR 12 000 for taxpayers with two dependent children;
- by EUR 1 120 for annual income up to EUR 12 000 for taxpayers with 3 dependent children;
- by EUR 1 340 for annual income up to EUR 12 000 for taxpayers with 4 dependent children.

For each additional dependent child after the fourth the tax deduction increases by EUR 220. For annual income exceeding EUR 12 000, the above mentioned tax credit is being reduced by EUR 20 for every EUR 1 000 of taxable income above the limit.

In order to maintain the tax reduction, the taxpayer is required to prove certain level of expenditures (*assumed to hold in the model*).

Other tax credits (not modelled): Other tax credits include expenses on donations. The amount of tax is reduced by 20% on the amounts of donations to certain bodies if the donations exceed during the tax year the amount of EUR 100. The total amount of donations cannot exceed 5% of the taxable income. Especially for donations to Public Benefit institutions and registered Civil Society Organizations, the amount of tax is reduced by forty percent (40%) on the amount of donations to these bodies, if the donations exceed during the tax year the amount of EUR 100 and the amounts of donations are deposited in special bank accounts that operate legally in European Member State or the EEA (European Economic Area). The total amounts of donations in this case cannot exceed 40% of taxable income.

Deductions for expenditure on medical and hospital care has been abolished since 2017.

8.2. *Special solidarity contribution (Ειδική Εισφορά αλληλεγγύης)*

Variable names: [\[SOLICONTAX_1\]](#); [\[SOLICONTAX_2\]](#)

Solidarity contribution was introduced in 2011. In the model, they are classified as income tax [\[IT\]](#). Income up to EUR 12 000 is not subject to solidarity contribution. For income exceeding EUR 12 000, solidarity contribution applies with the following marginal rates:

Income (EUR per year)	Tax Rate (%)
0 – 12 000	zero
12 001 – 20 000	2.20
20 001 – 30 000	5.00
30 001 – 40 000	6.50
40 001 – 65 000	7.50
65 001 – 220 000	9.00
>220 000	10.00

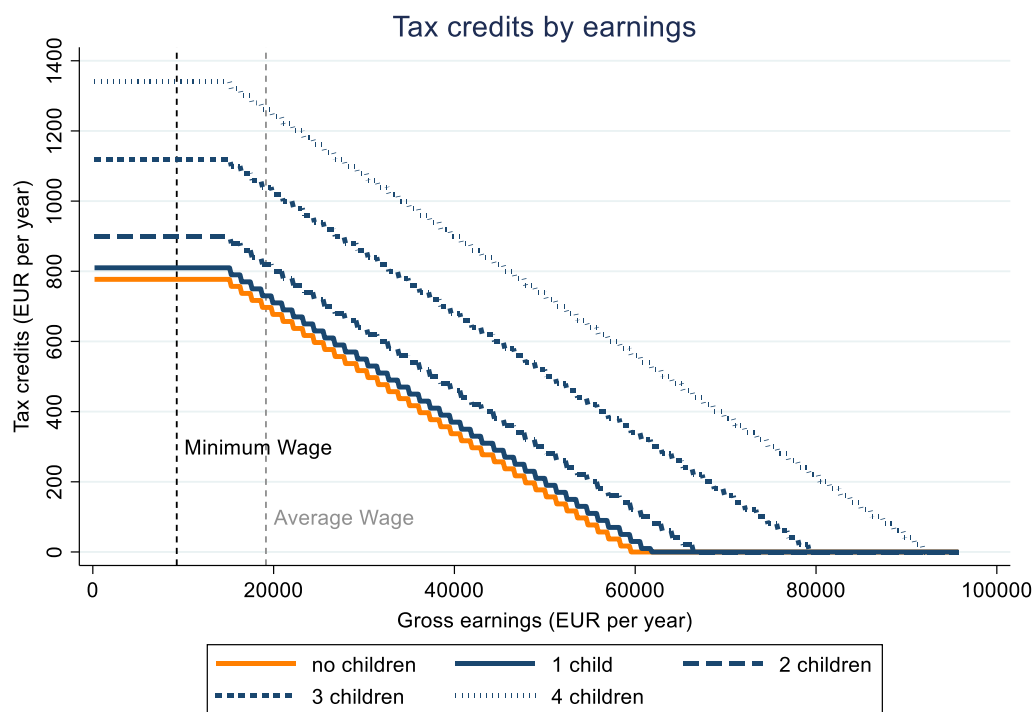
The solidarity contribution applies to the total sum of incomes from labour, pensions, business activity, and capital. All income is taken into account: taxable or exempt, real or imputed.

For tax years 2021 and 2022 (i.e. from 1 January 2021 to 31 December 2021 as well as from 1 January 2022 to 31 December 2022), income from salaries in the private sector is exempted from special solidarity surcharge. *The model assumes work in the private sector.*

Lump-sum benefits paid by welfare funds and insurance organizations and lump sums paid as financial aids to long-term unemployment people are excluded from solidarity contributions. There are some other exemptions but they are not covered by the model.

Figure 8. Employment tax credit

40-year old single person with or without children

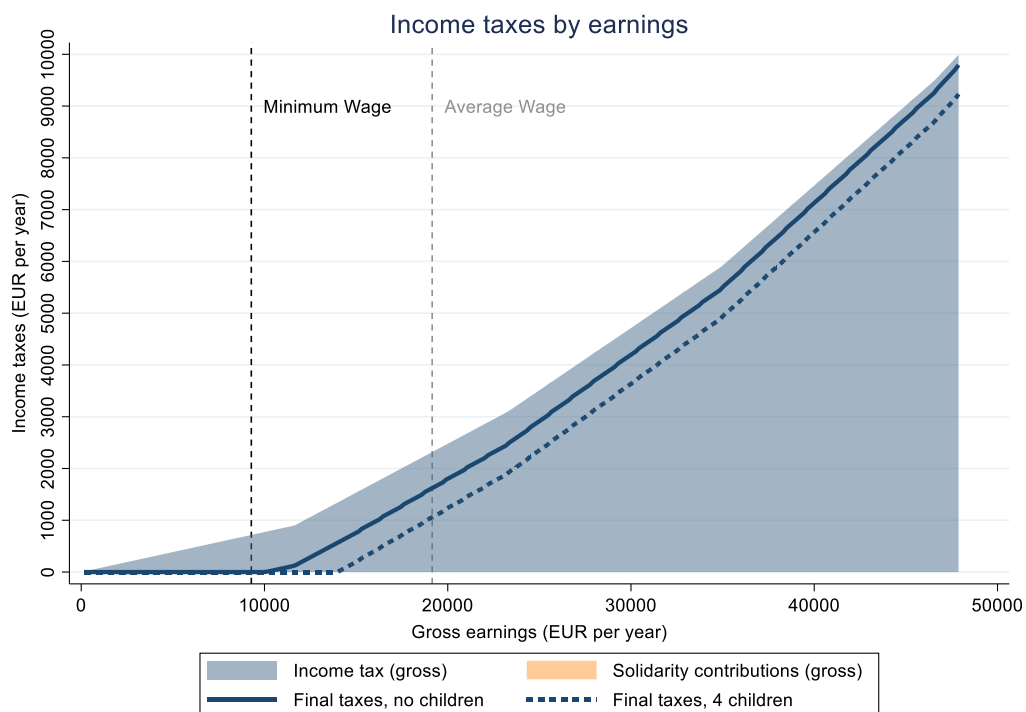


Note: A person is assumed to have only earnings from work. The value of tax credit depends on the number of children, but it does not depend on whether a person is single or married. In a couple, both working spouses are eligible to increases for children.

Source: OECD Tax-Benefit Model.

Figure 9. Income taxes

40-year old single person with or without children



Note: A person is assumed to have only earnings from work. Gross taxes are taxes before the employment tax credit. Final taxes are total taxes after subtraction of employment tax credit. The value of tax credit depends on the number of children, but it does not depend on whether a person is single or married. In a couple, both working spouses are eligible to increased amounts of tax credits for children. In 2022, special solidarity contribution does not apply to earnings from work in the private sector.

Source: OECD Tax-Benefit Model.

9. Sickness benefits

Section 9.1. describes sickness benefit paid by the Social Security Fund (EFKA). Section 9.2. describes the mandatory payments by the employer in case of sickness.

9.1. Sickness allowance (επίδομα ασθένειας)

This is a contributory benefit, non-means-tested and taxable.

There is no change in the legal framework regarding sickness benefit due to Covid-19. During the Covid-19 emergency, people who were quarantined by a doctor's order were eligible to the sickness benefit (if other eligibility conditions are satisfied).

9.1.1. Eligibility conditions

Employees and self-employed (*not considered in the model*) enrolled into compulsory social insurance scheme are eligible for sickness allowance. The contribution conditions for employees are:

Required contributions during the reference period	Reference period preceding the illness	Duration of sickness allowance ⁸
120 days (100 days for construction workers)	1 year	182 ⁹ days (within one year)
12 months	15 months	182 days (within one year)
300 days	2 years	360 ¹⁰ days for the same illness (within one year)
27 months	30 months	360 days for the same illness (within one year)
600 days during the reference period and 1 500 days in total	5 years	720 ¹¹ days
4 500 days	Before the illness	720 days

Periods of absence from work such as sickness or accident subsidy, regular unemployment subsidy are taken into account for entitlement to sickness benefits. There is no sickness benefit for the unemployed.

Eligibility conditions:

- A person is incapable of continuing their work based on the doctor's opinion and the approval of the competent health committee (PEDY).
- A person abstains from their work with a certificate provided by the employer.

⁸ Sickness allowance is paid for 7 days per week.

⁹ 182 days for the same disease or different diseases within the same calendar year.

¹⁰ 360 days for the same condition, if the insured person had completed 300 working days within two calendar years, those preceding the one of the announcement of the illness or within the previous 30 months of the announcement. In the latter case, for the completion of the 300 working days, the days that took place within the last calendar quarter of 30 month are not included.

¹¹ Up to 720 days if the insured had completed 1500 days, 600 of which in the last five years or 4500 days until the announcement of the disease or from 300-4200 days depending on the age of the insured.

c) The abstinence of the person lasts more than 3 days from the announcement of the illness (waiting time).

9.1.2. *Benefit amount*

There is a waiting period of 3 days, during which the employer is obliged to pay 50% of the gross wage (see Section 9.2. . From the 4th day of sickness, e-EFKA provides, for 12 days, 50% of the daily wage of the fictional insurance class in which the insured is classified according to his/her wage of the last 30 days of the previous year. From the 15th day, EFKA pays the full amount (100%).

There is a supplement of 10% for each dependent child (under age of 18) or dependent spouse.

The minimum amount of the allowance for the first 15 days of the subsidy each year, after the three-day waiting period, is equal to 50% of the daily sickness benefit of the insurance class determined on the basis of the earnings of the last working days of the previous year, excluding builders who remain at 50% of the imputed salary of the insurance class in which they are classified.

The maximum amount of the allowance, after the surcharges due to family expenses, cannot be higher than the current imputed salary of the 8th insurance class or 70% of the salary of the insurance class on the basis of which the allowance is calculated.

The minimum level of the allowance: 50% of the fictional daily wage of the 1st insurance class.

The maximum level of the allowance: 100% of the fictional daily wage of the 8th insurance class.

9.1.3. *Benefit duration*

Maximum duration of the benefit is between 182 and 720 days, depending on the previous contribution record (see Section 9.1.1.

9.1.4. *Means test*

Not means-tested.

9.1.5. *Tax treatment*

The benefit is taxable. General taxation rules apply. The sickness benefit paid by e-EFKA is not subject to security contributions.

9.1.6. *Interaction with other components of the tax-benefit system*

It is not possible to combine sickness allowance with other social benefits. Sickness benefit is not included in the means tests for other benefits, e.g. unemployment assistance benefits, GMI, housing benefit, and child allowance.

9.1.7. *Combining benefit receipt and employment/starting a new job*

It is not possible to combine sickness allowance with earnings from employment. There is no sickness benefit for reduced working hours.

9.2. *Sickness pay by employer (Please add)*

This is a mandatory sick pay by employer.

9.2.1. *Eligibility conditions*

The employee must have worked for more than 10 days for that employer.

9.2.2. *Benefit amount*

According to statutory obligation under the social security law, the employer has to pay employee 50% of wage for the first 3 days of sickness. From the 4th to the 15th day, the employer pays the difference between the sickness allowance (see Section 9.1. and the wage of the employee. The employee is entitled to the payment of wages for half a month during the first year of their employment and for one month during the rest of their employment years (Art658 of the Civil Code).

9.2.3. *Benefit duration*

The employer pays employee part of wage:

- up to 15 days of sickness for employees that have not completed a year of employment
- up to one month for employees that have completed a year of employment.

9.2.4. *Means test*

Not means-tested.

9.2.5. *Tax treatment*

The sick pay is taxable according to the general tax rules.

9.2.6. *Interaction with other components of the tax-benefit system*

[No information]

9.2.7. *Combining benefit receipt and employment/starting a new job*

It is not possible to combine sick pay with earnings from employment. There is no sick pay for reduced working hours.

10. Short-time work schemes

This section covers schemes aimed to protect employees from temporary business closure or reduction in working hours. Section 10.1. describes the measures that was already in place before the Covid-19 emergency. [Sections 10.2. and 10.3. cover the schemes introduced in response to the Covid-19 emergency.](#) [The Annex contains information on the benefit in case of employer's insolvency as well as the new programme of subsidized jobs.](#)

10.1. Benefit due to temporary lay-off (*Επίδομα διαθεσιμότητας*)

This is a general short-time work scheme in place on 1 January 2022 as well as before the Covid-19 emergency.

10.1.1. *Eligibility conditions*

The conditions and procedure for temporarily laying off salaried employees have been put on a new basis with the 2010 labour act (Act 3846/2010). The relevant provisions provide that firms with restricted economic activity may, instead of terminating an employment agreement, issues a written notice temporarily laying off salaried employees for no longer than three months annually, provided they have first consulted with the employees' legal representatives.

In case of work suspension (e.g. if a company is financially weak), employees under suspension who have no work can receive assistance for the period under suspension by DYPA.

The employee has to submit the application within 60 days from the date on which he was laid off (proven by a document provided by the employer). The worker is not registered as unemployed because the work contract remains valid.

10.1.2. *Benefit amount*

During the period of temporary layoff, employers pay to employees half of the average of their full employment earnings for the previous two months. In addition, DYPA offers assistance equal to 10% of the average regular earnings recorded in the last two months of full-time employment prior to the period of temporary lay off.

10.1.3. *Benefit duration*

These benefits are not paid for longer than three months per year. It is not possible to grant a benefit repeatedly.

10.1.4. *Means test*

Not means-tested.

10.1.5. *Tax treatment*

The assistance that the employees receive by DYPA is not taxable.

10.1.6. *Interaction with other components of the tax-benefit system*

[No information]

10.1.7. *Combining benefit receipt and employment/starting a new job*

[No information]

10.2. Special purpose compensation to employees in companies whose activity was suspended by state order or in companies severely affected (Αποζημίωση Ειδικού Σκοπού για τους εργαζόμενους σε επιχειρήσεις/ εργοδότες των οποίων έχει ανασταλεί η επιχειρηματική δραστηριότητα βάσει ΚΑΔ με εντολή δημόσιας αρχής ή επειδή είναι πληττόμενες)

This is a temporary measure related to Covid-19 emergency. It applies for the period from 15 March 2020 to 30 September 2021 and for January 2022. This Workers' Support Scheme has been established, for employees under dependent employment status in businesses-employers whose operation is either under temporary ban of operation or severely affected by the measures due to the COVID-19 pandemic. Support measures include: Labour Contract Suspension, Special Purpose Compensation, social insurance coverage, and the Christmas and Easter allowance¹². Compensation of part of the annual leave allowance is covered in certain cases.

10.2.1. *Eligibility conditions*

Employees of companies in the private sector (full-time as well as part-time), whose operation has been suspended (as per their activity code number) by virtue of a state order or whose business activity was severely affected by the state measures, are eligible.¹³ The companies - employers, who make use of the measure, are obliged not to make staff reductions by termination of employment contract during the suspension period. The companies-employers that are severely affected are required after the completion of suspension of the employment contracts, to maintain the same number of jobs and with the same type of employment contract, for a period equal to period of suspension of contracts of these workers. This obligation does not exist in the case of companies that by the form, the type or their activity have a specific time operation. The concept of the same number of jobs does not include those who leave voluntarily their work, retirees or death.

10.2.2. *Benefit amount*

The amount of special purpose allowance is EUR 534 per person corresponding to 30 days.¹⁴ The measure has been extended for additional months, for employees working in companies whose operation has been suspended (as per their activity code number), with an allowance of EUR 534 per month (proportion of this depending on the number of days employees abstain from work).

¹² Act of Legislative Content of 14.03.2020, art.13 (GG A'64/14.03.2020) as ratified by Law 4682/2020 (GG A'76), subsequent legislation and relevant Joint Ministerial Decisions for the implementation of the measure from March 2020.

¹³ Since May 2021, there are fewer sectors eligible to suspend work for their employees.

¹⁴ For November 2020 the amount was proportion of EUR 800 corresponding to 30 days.

10.2.3. *Benefit duration*

The payments to employees working in companies affected by the COVID-19 crisis cover the period from 15 March 2020 to 30 September 2021 and January 2022.

10.2.4. *Means test*

Not means-tested.

10.2.5. *Tax treatment*

The allowance is not taxed. The state budget will cover social security contributions calculated on their nominal salary (usual salary in the absence of suspension) for a time period covered by the payments.

10.2.6. *Interaction with other components of the tax-benefit system*

No interactions.

10.2.7. *Combining benefit receipt and employment/starting a new job*

The allowance cannot be combined with earnings.

10.3. **Employment support mechanism “SYN-ERGASIA”** (*Μηχανισμός Επιδότησης Εργασίας «ΣΥΝ-ΕΡΓΑΣΙΑ»*)

“Syn-Ergasia” Mechanism: implemented since 15 June 2020 according to Law 4690/2020 article 31 (GG A’ 104/30.05.2020) and Joint Ministerial Decision n.oik.23103/478 (GG B’ 2274/14-6-2020). The duration of the “SYN-ERGASIA” Mechanism is set from 15 June 2020 and is extended until 31 May 2022 for all beneficiary companies.

The scope of the “SYN-ERGASIA” Mechanism is to provide support, in the form of financial support for short-term work, to employees of companies in the private sector in order to maintain full-time jobs.

10.3.1. *Eligibility conditions*

Eligible to participate in the mechanism are all companies, of a continuous or seasonal operation, regardless of their activity code. The companies are eligible if they are:

- obliged to submit a periodic VAT return and have a reduction of at least 20% of the VAT turnover cycle;
- not required to submit a VAT return or are exempted from VAT and have a reduction of at least 20% of their gross income.

The criteria are verified by the Independent Public Revenue Authority.

The “SYN-ERGASIA” Mechanism applies exclusively to employees, who work under a full-time dependent employment contract in companies of continuous or seasonal operation, regardless of the Activity Code (KAD), who meet the conditions for inclusion in the Mechanism as defined in para 4 of article 31 of Law 4690/2020 as in force, as well as in the relevant ministerial decisions. Companies that make use of the mechanism are obliged not to terminate contracts of the employees who are included in the mechanism. In addition, they are obliged to retain the same initially agreed salaries of the employees that

are included in the support mechanism, for the time period that each of them is covered by the mechanism.

Special rules apply to the airline Industry and the third sector companies satisfying certain criteria.

10.3.2. *Benefit amount*

Employers participating in the mechanism may reduce the working time of all or part of their full-time employees by up to 50% of normal working hours.

Employees shall receive state financial support for short-term employment, which shall amount to 60% of their net salary, corresponding to the time period during which they do not provide work. In the event that the net salary of the employee (i.e. the total amount of the part of the salary paid by the employer and the part of the salary paid by the State), after the above adjustment, is less than the net statutory minimum salary or daily wage, the difference shall be covered by the state budget.

The proportion of the annual leave allowance and the Christmas allowance for the year 2020 corresponding to the financial support was covered by the state. Accordingly, the Easter allowance for the year 2021, the proportion of the annual leave allowance for 2021, the Christmas allowance for the year 2021 and the Easter allowance for the year 2022 corresponding to the financial support are also covered by the state.

Since December 2020, the nominal salary taken into account for the calculation of the financial subsidy of short-term work cannot exceed the maximum insurable salary of article 38 of law 4387/2016 (A '104) which is EUR 6 500 per year.

10.3.3. *Benefit duration*

The SYN-ERGASIA Mechanism has been extended until 31 May 2022. It is noted that for the months April 2022 to May 2022 employees who have a dependent full-time employment relationship as of 31 October 2021 can be included in the Mechanism.

10.3.4. *Means test*

Not means-tested.

10.3.5. *Tax treatment*

From 15 June 2020 to 30 June 2020, the employers' insurance contributions, corresponding to the time during which workers are not employed, were covered by the State budget by 60%.¹⁵

From 1 July 2020 until 30 September 2021 the total insurance contributions, corresponding to the time during which workers are not employed are covered by the State budget by 100%.¹⁶ The period of full coverage of the insurance contributions by the state has been extended to 31 May 2022.¹⁷

¹⁵ According to Law 4714 (G.G. A'148/31.07.2020), art.122

¹⁶ Ministerial Decision 28700/1559 (G.G. B'3765/31.08.2020)

¹⁷ Joint Ministerial Decision 31192 (G.G. B'1546/01.04.2022)

10.3.6. *Interaction with other components of the tax-benefit system*

No interactions.

10.3.7. *Combining benefit receipt and employment/starting a new job*

[No information]

11. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Greece 2022. TaxBEN by default produces the following output: net household incomes (**black line**) and its subcomponents (**coloured stacked areas**) for selected family and individual circumstances.

The model and the related web calculator is accessible from the [project website](#). The figure shows outputs for four scenarios:

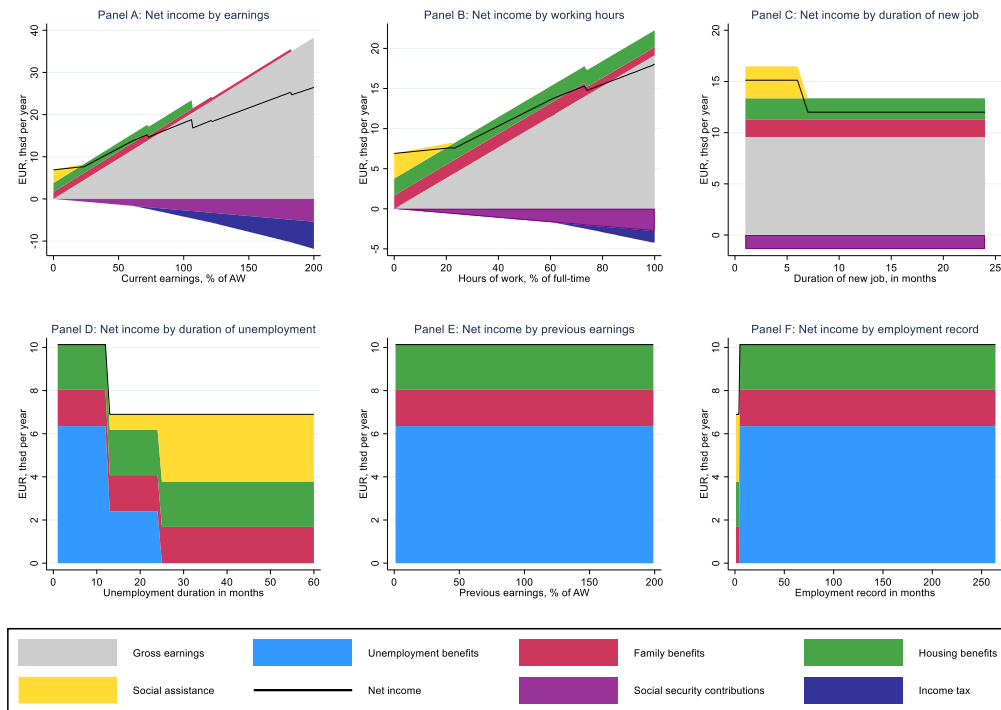
- By percentage of the average wage (**Panel A**);
- By working hours (**Panel B**);
- By duration of a new job (in months) for a person claiming social assistance who started a new employment (**Panel C**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel D**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel E**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel F**).

The stacked areas shows the following household income components: **GROSS** = gross earnings; **SSC** = social security contributions; **IT** = income tax; **FB** = family benefits; **HB** = housing benefits; **SA** = social assistance; **IW** = in-work benefits. Note that each component may contain more than one benefit or tax.

Results refer to a two-adult family with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the six scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Figure 10. Selected output from the OECD tax-benefit model

40-year old couple with two children



Notes: In Panel A, B, and C the first adult is employed, whereas the second adult is out of work and not eligible for unemployment benefits, e.g. because they have expired (the same is assumed for the first adult when earnings are zero). In Panel A, the first adult works full-time at different wage levels. In Panel B, the first adult earns average (hourly) wage at variable working hours. In Panel C, the first adult has just started a new full-time employment at 50% of the average wage after claiming social assistance.

In Panels D, E, and F the first adult is out of work and claiming unemployment benefits, whereas the second adult is out of work and not eligible to unemployment benefits. In Panel D and F, previous earnings of the first adult equal to the average wage. In Panels D and E, the first adult is assumed to have a 'long' employment benefit receipt of 264 consecutive months before the job loss. Panels E and F refer to the 2nd month of unemployment benefit receipt.

Source: OECD Tax-Benefit Model.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Greece that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Unemployment benefit for self-employed and freelancers formerly insured by OAEE, ETAP MME and ETAA (Βοήθημα ανεργίας αυτοτελώς και ανεξαρτήτως απασχολουμένων)

This benefit was introduced in 2011 (applicable for the insured by OAEE and ETAP MME since 2013 and for the insured by ETAA since 2018).

Eligible person should:

- have a minimum of 3 years of insurance to their respective Social Security Fund and a minimum of 3 years payment of the contributions to the Special Account for Unemployment. Since 17 July 2020, paid or regulated contributions to the Fund are no longer a prerequisite for the period from three years onwards.
- have a total net income for the 2 tax years prior to the application that does not exceed the amount of EUR 30 000 (individual income) and EUR 40 000 (family income).
- have ceased business from 1 January 2012 onwards and do not work (either as self-employed or employees). Insured by ETAA (only) who have not cease business can still claim the benefit if they haven't exercised their profession for the last 6 months before applying and have an income from their professional activity for the tax year before the application under 60% of statutory minimum wage deduced in annual basis.
- not have been submitted to any optional insurance scheme or have applied for pension
- not have transferred their business (share or stocks) to relatives of 1st and 2nd degree
- not have outstanding debts to their Social Security Fund. Since 17 July 2020, this requirement is no longer in effect for the period from three years onwards.
- reside permanently in Greece.
- not to provide dependent work or not to be self-employed, at home or abroad.
- not to have interrupted professional activity in order to serve his military service or to participate in university, postgraduate or doctoral studies.

The duration varies from 3 to 9 months. Since 17 July 2020 the amount of the benefit is adjusted every time the basic monthly amount of the regular unemployment benefit is adjusted. On 1 January 2022 the amount is EUR 407.25 per month and from 1 May 2022 onwards it is equal to EUR 438 per month.

Special seasonal assistance (Ειδικό Εποχικό Βοήθημα)

This aid is offered to persons belonging to occupational groups employed on a seasonal basis, e.g. construction workers, tobacco workers, salaried workers of the tourist sector, etc. The aid is paid once per year. The applicant must fulfil certain conditions with respect to previous work, daily wage, etc.

Benefit due to the employer's insolvency or Bankruptcy benefit (Παροχή λόγω Αφερεγγυότητας του Εργοδότη)

The DYPA keeps an independent account called “Account for the protection of workers against employers’ insolvency”. This account aims to pay up to three months earnings unpaid due to the employer’s insolvency. The amount paid by DYPA is not taxable.

Unemployment benefit due to refrain from work (Τακτική επιδότηση ανεργίας λόγω επίσχεσης και Βοήθημα επίσχεσης)

Unemployment benefit due to refrain from work:

The aim of this benefit is to compensate financially the employee who exercises his/ her right to refrain from work because the employer has stopped granting the wages and has the same eligibility criteria that apply for the unemployment benefit.

Allowance due to refrain from work:

For the employees not entitled to the unemployment benefit, an unemployment allowance can be given. The amount of the allowance is equal to 20 times the basic daily unemployment benefit (plus 10% for each dependent family member) subject to condition that for benefit recipients in 2022, the annual family income for the previous year (2021) must not exceed a fixed amount of EUR 12 619.22. The amount of the annual family income is raised by EUR 293.47 each calendar year. The beneficiary may receive the allowance up to three times in the same calendar year if the conditions for the payment of the special aid are met more than once in the same calendar year. The sixty-day wage condition is required only for the first payment of the allowance within the same calendar year.

Open programme of 100 000 new subsidized jobs (Ανοιχτό Πρόγραμμα Επιδότησης ασφαλιστικών εισφορών)

The open programme of 100 000 new subsidized jobs is implemented since 1 October 2020 according to Law 4726/2020 article 32 (GG A' 181/18.09.2020) and Ministerial Decision 39359/996 30.09.2020 and 39551/Δ1.11831 (GG B' 4261 30.09.2020). It provides incentives to companies-employers to create new jobs in order to stimulate employment, prevent unemployment and support workers' incomes due to the effects of COVID-19 pandemic. The purpose of the programme is to create 100 000 new jobs, with the subsidy of all insurance contributions (employers-employees), for six months, in companies-employers of the private sector of the country, regardless of industry and business activity.

Eligible to participate in the mechanism are all companies, of a continuous or seasonal¹⁸ operation, regardless of their activity code.

¹⁸ Since June 2021, the duration of the contracts of new jobs of seasonal workers in the tourism and food sector and jobs in seasonal companies can be at least one month and up to six months.

The new jobs that are subsidized by the programme are additional to the number of existing jobs of companies-employers on a specific date. For each new position created, addressing unemployed persons for at least one month, and included in this program, the state budget subsidizes the total insurance contributions of the employee and employer, regardless of the amount of the monthly salary (that has to be at least the minimum wage), as well as the corresponding insurance contributions in Easter, Christmas and leave allowance, for a period of six months. In case the new job concerns a long-term unemployed person, registered in the DYPA unemployment register for a period of at least twelve months, the new recruitment is subsidized from the state budget in addition to the subsidy of EUR 200 of the net monthly salary, before tax and special solidarity contribution.¹⁹ In any case, the net monthly salary, before tax and special solidarity contribution, of the newly hired long-term unemployed person may not be less than the amount of EUR 200 per month.

During the period of subsidizing the new job, the change of the terms of employment contracts beneficiaries of the programme is not allowed.

The policy is implemented since 1 October 2020 and valid until the subsidized jobs will be exhausted.

The policy is not means-tested.

According to Law 4855/2021 article 197 (G.G. A'215/12.11.2021) from 1 January 2022 the new jobs of the programme are increased by 50 000.

Additionally, a new open programme of new jobs for the first recruitment of young people aged 18-29 – “PROTO ENSIMO” (art. 196 of the aforementioned law) is implemented from 1 January 2022. According to the terms of the programme, from the total subsidy amount of EUR 1 200 for each new employment contract, EUR 600 is paid directly to the hired young person and EUR 600 is paid directly to the employer. For part-time employment the amount of subsidy is set to EUR 600 (EUR 300 to young person and EUR 300 to the employer). Since 17 June 2022 (Law 4941/2022), the total subsidy is EUR 3 600 for each new employment contract, of which EUR 1 800 is paid directly to the hired young person and EUR 1 800 is paid directly to the employer. For part-time employment the amount of subsidy is set to EUR 1 800 (EUR 900 to the young person and EUR 900 to the employer). This subsidy concerns employment contract of at least one month and up to six months.

Housing allowance for tertiary education undergraduates (Φοιτητικό στεγαστικό επίδομα)

Tertiary education undergraduates are granted an annual housing allowance of EUR 1 000. The allowance is paid for as long as the studies last. Tertiary education graduates, who attend a course aiming at obtaining a second or a Master's degree, are not entitled to the above allowance.

There is no specific age limit for a beneficiary. The student must reside in a rented house, which, due to his/her studies, is in a city other than the one of his/her main residence, where neither his parents nor he/she have the full ownership of another residence. Those who reside in university student halls and boarding houses are not entitled to the allowance. In order for the allowance to be granted, the annual family income of the previous fiscal year

¹⁹ Since June 2021, new recruitments concerning seasonal workers in the tourism and food sector also receive a subsidy of EUR 200 per month.

must not exceed the amount of EUR 30 000, increased by EUR 3 000 for each dependent child, beyond the first one.

The housing (student) allowance of EUR 1 000 is granted annually. It is not subject to taxation.

Employer provided family support (Οικογενειακή ενίσχυση που παρέχεται από τον εργοδότη)

Employers in some sectors pay workers (married or not) family support in a form of 5% supplement to the gross income for each child and adding 10% for the spouse. The amount paid for the spouse is independent of her status of employment and income.

Low income support for households in mountainous and disadvantaged areas (Εισοδηματική ενίσχυση οικογενειών ορεινών μειονεκτικών περιοχών)

An allowance of EUR 600 is granted per year for annual income up to EUR 3 000 and an allowance of EUR 300 per year for annual income up to EUR 4 700.

Pregnancy and post-natal period benefit (Επίδομα εγκυμοσύνης και λοχείας)

During maternity leave, women employees receive the following benefits:

- Insured women are paid by the Social Insurance Institute for 56 days before the presumed date of confinement (pregnancy benefit) and for 63 days after it (post-natal period benefit), i.e. for a total of 119 days (17 weeks). The insured woman is granted 50% of the presumptive daily wage of the insurance class to which she belongs, on the basis of the average earnings of the last 30 days of the previous year, as well as the child benefit (10% for each child and up to 40% maximum). In this case, the minimum amount of the benefit equals to the 2/3 of the insured woman's earnings and the maximum amount of the mentioned benefit.
- The Greek Manpower Employment Organisation pays a supplementary amount to ensure the mother's income reaches the level before the leave. The abovementioned amount covers the period in which the mother received the pregnancy benefit and the post-natal period benefit. Since 2017 this allowance is also provided to presumed mothers, but only for the period of the post-natal period benefit. Presumed mother is defined as the mother who has a child with the help of a surrogate and in-vivo artificial insemination. Similarly, since 19 June 2021, due to a new legislation (Law 4808/2021 Article 34), the granting of this allowance has been extended to the working mothers who adopt a child from the integration of the child in family and up to the age of eight years, for the period of the post-natal period benefit.
- Additionally, employed women receive an amount from their employer that corresponds to fifteen-day wages or one monthly salary, depending on their previous service to this employer. The employer is obliged to pay the difference between the subsidy of the insurance body and the above mentioned amount.

Post confinement care benefit (Επίδομα τοκετού)

The birth grant is a lump sum payment of EUR 900 for the birth of one child, EUR 1 200 for twins and EUR 1 600 for triplets. Financial benefits due to maternity are also granted to uninsured women for a period of six weeks prior to the childbirth. These benefits amount to EUR 440.20 (EUR 220.10 before the childbirth and EUR 220.10 after it) and are paid by municipalities.

Special Maternity Protection Allowance (Ειδική παροχή προστασίας της μητρότητας)

A special maternity protection allowance of up to six months can be granted to insured mothers. Since 2008, when this allowance was introduced with the Law 3655/2008 Article 142, beneficiaries have been the private sector employees. Since 19 June 2021, due to a new legislation (Law 4808/2021 Articles 33 & 36), the granting of this allowance has been extended to employees in the private sector with contracts or relationships through a temporary employment company, and also to employees in the public sector under private law contracts by their employer.

This additional leave is granted after the end of the maternity leave or the end of the 3.5 months leave granted in substitution of the reduced-time period (child-care leave) as provided by the regulations of the in-force National General Labour Collective Agreement.

The DYPA is obligated to pay a monthly benefit to the working mother that equals to the minimum wage, as set each time, as well as the proportion of holiday benefits and leave benefits according to the minimum wage. For women working part-time for up to four hours per day or up to 13 days per month on average during the six months before their pregnancy leave, the amount paid is half the one mentioned above. Women that take the special maternity protection allowance are insured for medical care.

In 2017, the Special Maternity Leave is also granted to presumed mothers (see above for a definition), and, since 19 June 2021, by virtue of Law 4808/2021, Article 36, the granting of this allowance has been extended to the working mothers who adopt a child of up to the age of eight years.

Parental leave allowance (Επίδομα γονικής άδειας)

On 19 June 2021, by virtue of a new legislation (Law 4808/2021 Article 28), the granting of parental leave allowance was introduced for the first two months of the four-month parental leave, which has been in force since 2012 but was unpaid. The ability to use parental leave has increased until the child complete the age of eight years from the previous six years, and can be used for a continuous period of time, partially or in any other flexible way. The provision applies to all working parents (both mothers and fathers), natural, adoptive, foster parents, the presumed mothers who acquire a child through the process of surrogacy, as well as to any person exercising parental care (in accordance with the Greek Civil Code), with any employment relationship or form of employment.²⁰

The parental leave allowance is equal to the statutory minimum wage, as determined each time, and a ratio of holiday gifts and leave allowance is paid based on the aforementioned amount by the DYPA. Special arrangements are also introduced that take into account the diversity and special needs of families, in case of multiple births but also special categories of single parents.

Special purpose leave (Άδεια Ειδικού Σκοπού)

On 11 March 2020, the special purpose leave was established so that working parents (both in the public and private sector) can meet the emergency care needs, in case the activities of educational or care units and/or of their departments are suspended, as an emergency special measure, e.g. when the activities of care facilities are suspended, to address and eliminate the spread of COVID-19.

²⁰ However, self-employed are not beneficiaries of the subsidy, only the employees.

Only one parent per family can apply for special leave, and only if both parents are employed (unless medical reasons do not allow the unemployed parent to care for the child).

This measure applies during suspension activities of school and care units for children and during the rotation-based operation of the above mentioned units' departments. Moreover, when the departments started re-operating regularly, the said leave was granted in cases when children-pupils or a member of their immediate family belonged to groups at risk for infection by COVID-19 or were already infected by COVID-19.

Special purpose leave is a special leave scheme of three days followed by one day of annual leave granted. The first two days are granted with pay by the employer, the third day is subsidized from the state ordinary budget and the fourth day is deducted from the worker's annual leave. This scheme is repeated, at the request of the worker and for as long as the emergency measures last.

With regard to the implementation of the above measure, the Ministry of Labour and Social Affairs has carried out three payments, through which amounts have been paid to cover the days of the special purpose leave from the state budget, in accordance with paragraph 3 or Article 4 of the Act of Legislative Content of 11.03.2020 (A'55) "*Emergency measures to counteract the negative impact of the coronavirus COVID-19 emergence and the need to limits its spread*", ratified by Article 2 of Law 4682/2020 (A'76), as declared in the ERGANI Information System:

By Decision No.79959/18.10.2021 of the Minister of Labour and Social Affairs, EUR 19 237 983.47 were paid to 35.380 beneficiaries.

By Decision No.95283/25.11.2021 of the Minister of Labour and Social Affairs, EUR 25 797.15 were paid 122 beneficiaries.

By Decision No. 9738/03.02.2022 of the Minister of Labour and Social Affairs, EUR 27 102.67 were paid to 156 beneficiaries

By Decision No.35348/13.04.2022 of the Minister of Labour and Social Affairs EUR 34 820.62 were paid to 216 beneficiaries.

Childbirth Benefit (Επίδομα Γέννησης)

Since 1 January 2021, childbirth benefit was introduced by virtue of law 4659/2020 (OG 21A'/03-02-2020). It is a one-off payment intended to help parents to meet the initial costs of having a child.

The benefit is granted to mothers residing legally and permanently in Greece, provided that the equivalent family income (i.e. the total annual income of all family members divided by the weighted sum of the members of the family) is less than EUR 40 000.

It is a lump-sum benefit of EUR 2 000, granted in two equal installments. The first installment is paid the first month after the child is born and the second one after five months.

The benefit is not taxable. There are no interactions with other components of the tax-benefit system.

Additional funding for childcare - Programme “Harmonization of Family and Professional Life” (Επιπλέον χρηματοδότηση για παιδική φροντίδα - Πρόγραμμα «Εναρμόνιση Οικογενειακής και Επαγγελματικής Ζωής»)

In addition to childcare support described in Section 5, in the framework of co-financed programs (Partnership Agreement for the Development Framework /PA for the current period 2014-2020), the Ministry of Interior is the funding body of the project entitled “Harmonization of Family and Professional Life”. This action facilitates mothers or fathers who have custody of their children, by providing care and hospitality services to infants, pre-school children and people with disabilities (children and adolescents) respectively, in public and private infant nurseries, full care crèches, day nurseries and centres of creative activities for children.

The above act contributes to a) increasing employment and maintaining low-income earners in jobs by providing help, concerning childcare b) providing substantial support to the beneficiaries in order to ensure their equal access to work and c) the equal access of vulnerable groups (children and people with disabilities) to quality social services.

The selection criteria concern: a) family income b) employment status and employment relationship c) marital status. The process of selecting the beneficiaries is based on a grading system, until the budget is over.

The 2021-2022 budget of the project amounted to EUR 279 000 000 across the country. (Resources under NSRF (ESPA): EUR 74 483 548 and National Resources: EUR 204 516 452). In the same period, 181 419 applications were submitted by beneficiaries and 152 269 children benefited from the relevant vouchers.

In particular, according to article 6 of the Joint Ministerial Decision No78812/15-07-2021 (B’3116), the annual maximum amount for expenditures per structure/ facility and age category is determined as follows:

CRITERIA	POINT ANALYSIS	
A. Total Annual Income	$90 - ((E-P) / 300)$ Where: (E) indicates the total annual family income and (P) corresponds to the amount of EUR 500 for each child, within the legally provided age limits (and for each child with disability over the age of 12.)	
B. Status, type of employment and employment relationship:	Employment status Female Employees on -occasional employment (insurance coupon or employment stamps) Other forms of employment (service delivery sheet, female land workers)	90
	Self-employed female workers employed : - Outside of the primary sector - Within the primary sector Unemployed with unemployment card in force or another equivalent document which proves the status of unemployment	
	Employees in - Full-time employment under an indefinite or fixed term contract - Part-time employment under an indefinite or fixed term contract	
c. Family status:	Female applicants who - have a disability at a rate of 35% or more - have children with a disability (with a disability rate of 35% or more)	50
	Male/ female applicants who : - are widowed - belong to Single parent families - are divorced or separated - have three or more children	40
	Female applicants with: - a husband with a disability at a rate of 67% or more - an unemployed husband with an unemployment card in force or another equivalent document which proves the status of unemployment	30

According to the respective ministerial decision, the expenditure limits for each facility and age category are defined as follows:

Facility Category		ANNUAL MAXIMUM AMOUNT OF EXPENDITURE PER FACILITY CATEGORY (EUR per year)		
		Age Categories	no meals provided	meals provided
A	Infant centres - Infant/ child centres – Child centres	A1 Infants from 2 months to 2.5 years of age	2 375	2 945
		A2 Pre - school children from 2.5 years of age to the age of starting compulsory education	1 805	2 375
B	Infant/child Integrated care centres	B1 Infants from 8 months to 2.5 years of age	2 375	2 945
		B2 Pre-school children from 2.5 years of age to the age of starting compulsory education	1 805	2 375
		B3 Pre-school children with disabilities from 2.5 years to 6.5 years of age	5 000	
C	Centres of creative activities for children	C Children from the age of 5 (age for starting compulsory education) to 12 years of age and children with mild forms of mobility problems or sensory impairment	1 330	
D	Centres of creative activities for children with disabilities	D Children with disabilities and/or adolescents and/or people with intellectual disabilities and/or disabled people	5 000	

The Programme “Financial support to families with pre-school children, 2020-2021”

The Programme “Financial support to families with pre-school children, 2020-2021”, taking as a basis the conditions and the way to implement the action “Harmonization of family and work life” as well as the produced positive results, broadens the circle of beneficiary children and their families.

In order to complement the care provided by the state, the programme “Financial support to families with pre-school children” is expanded, on the one hand, to families of the staff

employed in the public sector, in public entities and in local authorities (first and second tier of local authorities) and, on the other hand, to children of families employed in the private sector, where such families are not eligible to apply to the current programme “Harmonization of Work and Family Life” because of the very low income criteria set by the programme.

This Programme is addressed to working mothers of infants and young children, to mothers of young children with disabilities and to persons who are granted by law the custody of the children as well as foster parents, who wish to register their children in municipal and private nursery schools, kindergartens and childcare places as well as in childcare places of integrated care.

The Programme is aimed at providing to beneficiaries, places of care for infants and young children aged of 2 months until the age they are registered in the compulsory education.

All beneficiaries are granted a voucher of EUR 180 per month, based on promotion points and until exhaustion of the available budgetary amounts of the Programme. The voucher covers in part or in total the expenditure required for the provision of places of care addressed to infants and young children.

It is implemented through an annual cycle of invitations addressed to beneficiaries, which corresponds to the school year 2021-2022, for a term not exceeding eleven months, (as it is the maximum duration of the voucher).

According to data of the Hellenic Agency for Local Development and Local Government S.A. (EETAA) as the responsible agency for the implementation, execution and management of the programme, the vouchers provided for the 2021-2022 school year amounted to EUR 29 700 000 across the country. The number of applicants is approximately 16 300 and the number of children beneficiaries is 14 762.

In particular, according to article 8 of the Joint Ministerial Decision No54128/23.07.2021 (B'3360), as amended by 103413/15.12.2021 (B'5591), the criteria and the selection procedure are determined as follows:

CRITERIA	POINT ANALYSIS	
Annual declared family income.	90 - ((E-P) / 500) Where:(E) indicates the total annual family income and (P) corresponds to the amount of EUR 500 for each child, within the legally provided age limits (up to the age of 12)	
Family status:	Potential beneficiaries - persons with a disability rate of 35% or more - parents with children with a disability rate of 35% or more	50
	Potential beneficiaries - Single parent families - with three or more children	40
	Potential beneficiaries - Mothers with a spouse with a disability at a rate of 67% or more - Mothers who have an unemployed husband with unemployment card in force or another equivalent document	30